

COVER SHEET

for

AUDITED FINANCIAL STATEMENTS

SEC Registration Number

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COMPANY NAME

P	T	F	C		R	E	D	E	V	E	L	O	P	M	E	N	T		C	O	R	P	O	R	A	T	I	O	N

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

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Form Type

1	7	-	Q
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Department requiring the report

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Secondary License Type, If Applicable

	N	A	
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COMPANY INFORMATION

Company's email Address

info@ptfc-brc.com

Company's Telephone Number

(02) 8362-1808

Mobile Number

NA

No. of Stockholders

505

Annual Meeting (Month / Day)

Last Thursday of January

Fiscal Year (Month / Day)

AUGUST 31

CONTACT PERSON INFORMATION

The designated contact person **MUST** be an Officer of the Corporation

Name of Contact Person

PATRICIA A. O. BUNYE (CORPORATE SECRETARY)

Email Address

po.bunye@cruzmarcelo.com

Telephone Number/s

(02) 8810-5858

Mobile Number

(0917) 843-6976

CONTACT PERSON'S ADDRESS

11th Floor One Orion, 11th Avenue corner University Parkway, Bonifacio Global City, 1634 Taguig, Metro Manila

NOTE 1 : In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

COVER SHEET

SEC Number **5926**
File Number _____

PTFC REDEVELOPMENT CORPORATION
(Company's Full Name)

802 A. Bonifacio Street, Balintawak, Quezon City
(Company's Address)

8362-1808
(Company's Telephone Number)

2025 August 31
(Fiscal Year Ending-Month and Day)

SEC FORM 17-Q
(FORM TYPE)

31 May 2025
Period Ended Date

(Amendment Designation, if applicable)

(Secondary License Type, if any)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended 31 May 2025
2. SEC Identification Number 5926 3. BIR Tax Identification No. 000-365-952-000.
4. PTFC REDEVELOPMENT CORPORATION.
Exact name of issuer as specified in its charter
5. Metro Manila, Philippines.
Province, country or other jurisdiction of incorporation or organization
6. Industry Classification Code: (SEC Use Only).
7. 802 A. Bonifacio Street, Balintawak, Quezon City. 1105
Address of issuer's principal office Postal Code
8. (02) 8362-1808
Issuer's telephone number, including area code
9. N/A
Former name, former address, and former fiscal year, if changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common share, P1.00 par value	35,000,000

11. Are any or all of these securities listed on a Stock Exchange.

Yes [☒] No [☐]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

Common Stock – 35,000,000 shares

12. Indicate by check whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports);

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [☒] No [☐]

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PART I – FINANCIAL INFORMATION

Item 1. Financial Statements.

The unaudited consolidated financial statements of PTFC Redevelopment Corporation and its Subsidiary (collectively, the Group) as of and for the period ended May 31, 2025 (with comparative figures as of August 31, 2024 and for the period ended May 31, 2024) are filed as part of this form 17-Q as Annex "A".

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

The information required by Part III, Paragraph (A)(2)(b) of "Annex C, as amended" is attached hereto as Annex "B".

PART II – OTHER INFORMATION

There are no disclosures not made under SEC form 17-C.

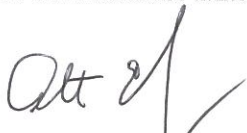
SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer

PTFC REDEVELOPMENT CORPORATION

Signature and Title



ALBERT C. EUFEMIO

Vice Chairman, Vice-President and Treasurer

Date

Signature and Title



BRYAN KEN V. RARANG

Controller

Date

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
MAY 31, 2025 AND AUGUST 31, 2024
(Amounts in Philippine Pesos)

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 2, 3, 4, 26 and 27)	P493,983,536	P470,720,684
Trade receivables (Notes 2, 3, 5, 26 and 27)	8,106,011	4,905,914
Prepayments and other current assets (Notes 2, 3 and 6)	8,459,781	5,418,303
Total Current Assets	510,549,328	481,044,901
Noncurrent Assets		
Investments in associates – net (Notes 2, 3 and 7)	92,854,582	91,811,272
Property and equipment – net (Notes 2, 3 and 8)	1,269,177	2,068,871
Investment properties – net (Notes 2, 3 and 9)	76,047,531	83,020,769
Deferred tax asset (Notes 2, 3 and 23)	4,982,881	4,660,340
Other noncurrent assets (Notes 2, 3, 10, 26 and 27)	2,117,832	2,298,234
Total Noncurrent Assets	177,272,003	183,859,486
TOTAL ASSETS	P687,821,331	P664,904,387
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables (Notes 2, 3, 11, 26 and 27)	P2,459,966	P2,955,668
Advance rentals – current (Notes 2, 3 and 15)	1,621,429	1,007,078
Security and utility deposits – current (Notes 2, 3, 12, 26 and 27)	1,629,413	2,215,461
Dividends payable (Notes 2, 3, 24, 26 and 27)	6,953,426	6,277,100
Income tax payable (Notes 2 and 23)	3,409,723	2,547,303
Other current liabilities (Notes 2, 3, 13, 26 and 27)	2,198,620	4,203,742
Total Current Liabilities	18,272,577	19,206,352
Noncurrent Liabilities		
Advance rentals – net (Notes 2, 3 and 15)	18,389,669	17,716,632
Security and utility deposits – net (Notes 2, 3, 12, 26 and 27)	39,112,065	36,669,507
Deferred tax liability (Notes 2 and 23)	471,665	412,638
Total Noncurrent Liabilities	57,973,399	54,798,777
Total Liabilities	76,245,976	74,005,129
Forward		

EQUITY

Share capital (Notes 2, 17 and 28)	35,000,000	35,000,000
Additional paid-in capital (Notes 2 and 28)	182,922,688	182,922,688
Retained earnings (Notes 2, 24 and 28)	406,549,955	385,022,698
Accumulated other comprehensive loss (Notes 2, 7 and 28)	(12,897,288)	(12,046,128)
Total Equity	611,575,355	590,899,258

TOTAL LIABILITIES AND EQUITY**P687,821,331** P664,904,387

See accompanying Notes to Consolidated Financial Statements.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE MONTHS ENDED MAY 31, 2025 AND 2024
(Amounts in Philippine Pesos)

	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)
REVENUES (Notes 2 and 18)	P180,610,607	P167,810,040
COST OF SERVICES (Notes 2 and 19)	(60,357,749)	(58,086,306)
GROSS INCOME	120,252,858	109,723,734
GENERAL AND ADMINISTRATIVE (Notes 2 and 20)	(24,962,179)	(22,211,262)
SELLING AND MARKETING (Notes 2 and 21)	(112,745)	(729,473)
INCOME FROM OPERATIONS	95,177,934	86,782,999
OTHER INCOME – net (Notes 2 and 22)	14,112,744	11,894,167
INCOME BEFORE INCOME TAX	109,290,678	98,677,166
PROVISION FOR INCOME TAX (Notes 2 and 23)		
Current	(18,316,814)	(16,549,237)
Deferred	263,514	204,517
	(18,053,300)	(16,344,720)
NET INCOME	91,237,378	82,332,446
OTHER COMPREHENSIVE LOSS (Notes 7 and 28)	(851,160)	(3,915,336)
TOTAL COMPREHENSIVE INCOME	P90,386,218	P78,417,110
EARNINGS PER SHARE (Notes 2 and 25)		
Computed based on Net Income	P2.61	P2.35
Computed based on Total Comprehensive Income	P2.58	P2.24

See accompanying Notes to Consolidated Financial Statements.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE THREE MONTHS ENDED MAY 31, 2025 AND 2024
(Amounts in Philippine Pesos)

	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)
REVENUES (Notes 2 and 18)	P61,225,257	P58,210,087
COST OF SERVICES (Notes 2 and 19)	(20,080,528)	(20,434,304)
GROSS INCOME	41,144,729	37,775,783
GENERAL AND ADMINISTRATIVE (Notes 2 and 20)	(7,313,165)	(7,089,161)
SELLING AND MARKETING (Notes 2 and 21)	(12,020)	(511,211)
INCOME FROM OPERATIONS	33,819,544	30,175,411
OTHER INCOME – net (Notes 2 and 22)	3,548,427	3,059,149
INCOME BEFORE INCOME TAX	37,367,971	33,234,560
PROVISION FOR INCOME TAX (Notes 2 and 23)		
Current	(6,204,012)	(5,678,574)
Deferred	(2,243)	106,038
	(6,206,255)	(5,572,536)
NET INCOME	31,161,716	27,662,024
OTHER COMPREHENSIVE INCOME (Notes 7 and 28)	170,232	–
TOTAL COMPREHENSIVE INCOME	P31,331,948	P27,662,024
EARNINGS PER SHARE (Notes 2 and 25)		
Computed based on Net Income	P0.89	P0.79
Computed based on Total Comprehensive Income	P0.90	P0.79

See accompanying Notes to Consolidated Financial Statements.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
MAY 31, 2025 AND 2024
(Amounts in Philippine Pesos)

	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)
SHARE CAPITAL (Notes 2, 17 and 28)	P35,000,000	P35,000,000
ADDITIONAL PAID-IN CAPITAL (Notes 2 and 28)		
Balance at beginning and end of year	182,922,688	182,922,688
RETAINED EARNINGS (Notes 2, 24 and 28)		
Balance at beginning of year	385,022,698	344,451,902
Net income attributable to equity holders of the parent	91,237,378	82,332,446
Dividends declared	(70,000,000)	(70,000,000)
Reversal of claimed dividend (Note 24)	289,879	250,040
Balance at end of year	406,549,955	357,034,388
ACCUMULATED OTHER COMPREHENSIVE LOSS (Notes 2, 7 and 28)		
Balance at beginning of year	(12,046,128)	(7,790,328)
Share in the other comprehensive loss	(851,160)	(3,915,336)
Balance at end of year	(12,897,288)	(11,705,664)
	P611,575,355	P563,251,412

See accompanying Notes to Consolidated Financial Statements.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED MAY 31, 2025 AND 2024
(Amounts in Philippine Pesos)

	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before income tax	P109,290,678	P98,677,166
Adjustments for:		
Depreciation expense (Notes 8 and 9)	9,848,466	10,905,685
Reversal of unclaimed dividend (Note 24)	289,879	250,040
Amortization of discount on security and utility deposits (Note 22)	181,990	50,477
Rental income – discounted	(50,391)	(924,948)
Share in cumulative equity income in associates – net (Note 22)	(1,894,470)	(1,583,730)
Interest income (Note 22)	(12,068,380)	(10,187,764)
Operating cash flows before movements in working capital	105,597,772	97,186,926
Decrease (increase) in:		
Trade receivables (Note 5)	(3,149,706)	672,835
Creditable withholding tax (Note 2)	(8,526,402)	(7,882,648)
Prepayments and other current assets (Note 6)	(3,041,478)	(2,773,152)
Other noncurrent assets (Note 10)	180,402	13,674
Increase (decrease) in:		
Trade and other payables (Note 11)	(495,702)	(78,217)
Security and utility deposits (Note 12)	1,674,520	2,078,497
Advance rentals	1,287,388	1,509,455
Other current liabilities (Note 13)	(2,005,122)	300,293
Net cash generated from operations	91,521,672	91,027,663
Income tax paid	(8,927,992)	(8,924,433)
Net cash provided by operating activities	82,593,680	82,103,230
CASH FLOWS FROM INVESTING ACTIVITIES		
Interest received (Note 22)	12,068,380	10,187,764
Additions to investment properties (Note 9)	(2,075,534)	(5,178,571)
Net cash provided by investing activities	9,992,846	5,009,193
CASH FLOW FROM FINANCING ACTIVITY		
Dividends paid (Note 24)	(69,323,674)	(69,282,880)
NET INCREASE IN CASH AND CASH EQUIVALENTS	23,262,852	17,829,543
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	470,720,684	405,376,069
CASH AND CASH EQUIVALENTS AT END OF YEAR	P493,983,536	P423,205,612

See accompanying Notes to Consolidated Financial Statements.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

PTFC Redevelopment Corporation, formerly, Philippine Tobacco Flue-Curing and Redrying Corporation (the "Parent Company" or PTFC) is a leasing company incorporated in the Philippines and was registered with the Securities and Exchange Commission (SEC) on March 28, 1951. Its primary purpose is to deal, engage or otherwise acquire an interest in land or real estate development, whether in the Philippines or elsewhere, to acquire, purchase, sell, convey, encumber, lease, rent, erect, construct, alter, develop, hold, manage, operate, administer or otherwise deal in and dispose of, for itself or for others, for profit and advantage, residential, commercial, industrial, recreational, urban and other kinds of real property.

The Parent Company is currently engaged in lease of its properties which includes land and warehouses to its subsidiaries, related parties and third parties.

The Parent Company is listed with the Philippine Stock Exchange (PSE).

On March 18, 2014, the SEC approved the Parent Company's amendment to Articles I and II of its Articles of Incorporation which changes its primary purpose and its name from Philippine Tobacco Flue-Curing and Redrying Corporation to PTFC Redevelopment Corporation and its primary purpose.

The Parent Company's registered office and principal place of business is located at No. 802 A. Bonifacio Street, Balintawak, Quezon City.

Baesa Redevelopment Corporation (the "Subsidiary" or BRC) is a real estate corporation incorporated in the Philippines and registered with the SEC on December 2, 1992 per SEC Reg. No. AS09208225, primarily to acquire by purchase, lease, donation or otherwise, and to own, use, improve, develop and hold for investment or otherwise, real estate of all kinds, and to erect or cause to be erected on any lands owned, held or occupied by the corporation, buildings or other structures with their appurtenances, and to rebuild, enlarge, alter or improve any buildings or other structures, or part thereof at any time owned or held by the corporation. BRC is wholly owned by the Parent Company.

The Group has eight (8) and nine (9) project-based employees as at May 31, 2025 and August 31, 2024, respectively.

2. Basis of Preparation, Statement of Compliance and Summary of Material Accounting Policies

Basis of Preparation

The consolidated financial statements have been prepared under the historical cost basis. The consolidated financial statements are presented in Philippine Peso, the functional currency of the Group, and all values are rounded to the nearest peso, except when otherwise indicated.

The Group presents all items of income and expense in a single statements of comprehensive income. Two comparative periods are presented for the statements of financial position when the Group applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or reclassifies items in the consolidated financial statements.

Statement of Compliance

The consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRS). PFRS includes statements named PFRS, Philippine Accounting Standards (PAS) and Philippine interpretations of the Philippine Interpretations Committee (PIC), Standing Interpretations Committee (SIC), and International Financial Reporting Interpretations Committee (IFRIC) which have been approved by the Philippine Financial and Sustainability Reporting Standards Council (formerly Philippine Financial Reporting Standards Council).

Basis of Consolidation

The consolidated financial statements as of May 31, 2025 and August 31, 2024 and for the nine (9) months ended May 31, 2025 and 2024 represent the consolidation of the financial statements of Parent Company and its Subsidiary (the "Group").

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiary as at May 31, 2025 and August 31, 2024. Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Parent Company controls an investee if, and only if, the Parent Company has:

- Power over the investee (i.e., existing rights that give it the current liability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its return

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one (1) or more of the three (3) elements of control. Subsidiary is consolidated from the date of acquisition, being the date on which the Parent Company obtains control, and continue to be consolidated until the date when such control ceases. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. Adjustments, where necessary, are made to ensure consistency with the policies adopted by the Group.

Intercompany transactions, balances and unrealized gains or losses on transactions between group companies are eliminated.

Noncontrolling Interests

Noncontrolling interests represent the portion of profit or loss and the net assets in subsidiary not held by the Parent Company and are presented separately in the consolidated statements of comprehensive income and within equity in the consolidated statements of financial position, separately from equity attributable to equity holders of the Group.

Changes in the Group's ownership interests in existing subsidiary

Any changes in the Group's ownership interest in existing subsidiary do not result in the Group losing control over the subsidiary are accounted for as equity transactions. The carrying amounts of the Group's interest and the non-controlling interest are adjusted to reflect the changes in their relative interest in the subsidiary. Any difference between the amount by which the non-controlling interest are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to owners of the Parent Company.

When the Group loses control of a subsidiary, a gain or loss is recognized in profit or loss and is calculated as the difference between (i) the aggregate of the fair value of the consideration received and the fair value of any retained interest and (ii) the previous carrying amount of the assets (including goodwill), and liabilities of the subsidiary and any non-controlling interest.

All amounts previously recognized in other comprehensive income (OCI) in relation to that subsidiary are accounted for as if the Group had directly disposed of the related assets or liabilities of the subsidiary (i.e., reclassified to profit or loss or transferred to another category of equity as specified/permitted by applicable PFRSs). The fair value of any investment retained in the former subsidiary at the date when control is lost is regarded as the fair value on initial recognition for subsequent accounting under PAS 39, when applicable, the cost on initial recognition of an investment in an associate or a joint venture.

Where necessary, adjustments are made to the financial statements of the Subsidiary to bring its accounting policies into line with those used by the Parent Company.

The preparation of consolidated financial statements in conformity with PFRS requires the use of certain accounting estimates. Exercise of judgment is also required in the application of these accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 3.

Segment reporting

The Group has no geographical and operational segments as all of the companies, which engage only in leasing activities, primarily operate only in the Philippines.

Changes in Accounting Policies

The accounting policies adopted are consistent with those in previous financial years, except for the adoption of the following amendments to existing standards effective beginning September 1, 2024 as disclosed in the following pages. Except as otherwise indicated, the new standards and amendments have no significant impact on the annual consolidated financial statements of the Group.

- Amendments to PAS 1, "*Noncurrent Liabilities with Covenants*"

The amendments clarify how conditions with which an entity must comply within twelve months after the reporting date affect the classification of a liability. The amendments modify the requirements introduced by PAS 1, "*Classification of Liabilities as Current or Noncurrent*", on how an entity classifies debt and other financial liabilities as current or noncurrent in particular circumstances. Only covenants with which an entity is required to comply on or before the reporting date affect the classification of a liability as current or noncurrent. In addition, an entity has to disclose information in the notes that enables users of financial statements to understand the risk that noncurrent liabilities with covenants could become repayable within twelve months.

- Amendments to PAS 16, "*Lease Liability in a Sale and Leaseback*"

The amendments specify how a seller-lessee should apply the subsequent measurement requirements in PFRS 16 to the lease liability that arises in the sale and leaseback transaction. The amendments require a seller-lessee to subsequently measure lease liabilities arising from a leaseback in a way that it does not recognize any amount of the gain or loss that relates to the right of use it retains. The new requirements do not prevent a seller-lessee from recognizing in profit or loss relating to the partial or full termination of a lease. The amendments also do not prescribe specific measurement requirements for lease liabilities arising from a leaseback.

- Amendments to PAS 7 and PFRS 7, "*Supplier Finance Arrangements*"

The amendments are intended to enable users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk.

The amendments require an entity to disclose the following for its supplier finance arrangements:

- the terms and conditions of the arrangements;
- the carrying amounts and associated line items of financial liabilities in the statement of financial position that are part of a supplier finance arrangement, with breakup of the amounts for which the suppliers have already received payment from the finance providers;
- ranges of payment due dates; and
- liquidity risk information.

The amendments also include explanation of characteristics of a supplier finance arrangements and provide transitional relief, mainly for disclosure of comparative information.

Standards and Interpretation Issued but not yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt the pronouncements disclosed in the following pages when they become effective.

Effective beginning on or after January 1, 2025 for adoption in fiscal year beginning September 1, 2025

- PFRS 17, *"Insurance Contracts"**
- Amendments to PFRS 17, *"Insurance Contracts"**
- Amendment to PFRS 17, *"Initial Application of PFRS 17 and PFRS 9 – Comparative Information"**

The above standards are not applicable to the Group since the Group does not have activities that are predominantly connected with insurance or issue insurance contracts.

**On December 15, 2021, the FRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of IFRS 17 by two (2) years after its effective date as decided by the IASB.*

- Amendments to PAS 21, *"Lack of Exchangeability"*

Effective beginning on or after January 1, 2026 for adoption in fiscal year beginning September 1, 2026

- Amendments to PFRS 9 and PFRS 7, *"Amendments to the Classification and Measurement of Financial Instruments"*
- Annual Improvements to PFRS Accounting Standards - Volume 11

Effective beginning on or after January 1, 2027 for adoption in fiscal year beginning September 1, 2027

- PFRS 18, *"Presentation and Disclosure in Financial"*
- PFRS 19, *"Subsidiaries without Public Accountability"*

Deferred effectivity

- Amendments to PFRS 10 and PAS 28 *"Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"*
- Deferment of Implementation of International Financial Reporting Interpretations Committee (IFRIC) Agenda Decision on Over Time Transfer of Constructed Goods (PAS 23, *"Borrowing Cost"*) for the Real Estate Industry

No Mandatory Effective Date

- Amendments to PFRS 9, *"Financial Instruments (Hedge Accounting and Amendments to PFRS 9, PFRS 7 and PAS 39)"*

These amendments are not applicable to the Group and expected not to have an impact on the consolidated financial statements.

The Group continues to assess the impact of the above new and amended accounting standards and interpretations when these become effective. Additional disclosures required by these amendments will be included in the consolidated financial statements when these amendments are adopted.

Material Accounting Policies

The principal accounting and financial reporting policies adopted in preparing the consolidated financial statements of the Group are summarized below and in the succeeding pages. The policies have been consistently applied to all years presented unless otherwise stated.

Current versus Noncurrent Classification

The Group presents assets and liabilities in the consolidated statements of financial position based on current or noncurrent classification.

An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve (12) months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in the normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within 12 months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting period

All other liabilities are classified as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities, respectively.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the assets or liability and the level of the fair value hierarchy.

Financial Instruments

Financial instruments are any contract that gives rise to a financial asset of one entity or a financial liability or equity instrument of another entity.

Date of Recognition

The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of a financial instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

"Day 1" Difference

Where the transaction in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a "Day 1" difference) in profit or loss.

In cases where there is no observable data on inception, the Group deems the transaction price as the best estimate of fair value and recognizes "Day 1" difference in profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the "Day 1" difference.

Financial Assets

Initial Recognition

Financial assets are recognized initially at fair value, which is the fair value of the consideration given. The initial measurement of financial assets, except for those designated at FVPL, includes transaction cost.

Classification

The Group classifies its financial assets at initial recognition under the following categories: (a) financial assets at amortized cost, (b) financial assets at FVOCI and (c) financial assets at FVPL. The classification of a financial asset at initial recognition largely depends on the Group's business model for managing the asset and its contractual cash flow characteristics.

Financial Assets at Amortized Cost

Financial assets are measured at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial assets give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, financial assets at amortized cost are subsequently measured at amortized cost using the effective interest method, less any allowance for impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Financial assets at amortized cost are included under current assets if realizability or collectability is within 12 months after the reporting period. Otherwise, these are classified as noncurrent assets.

As at May 31, 2025 and August 31, 2024, the Group's cash and cash equivalents, trade receivables (excluding advances for liquidation), refundable deposits under other noncurrent assets are classified under this category.

Debt Instruments at FVOCI

For debt instruments that are not designated at FVPL under the fair value option, the financial assets are measured at FVOCI if both of the following conditions are met:

- The financial asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling the financial assets; and
- The contractual terms of the financial assets give rise, on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, interest income (calculated using the effective interest rate method), foreign currency gains or losses and impairment gains or losses of debt instruments measured at FVOCI are recognized in the consolidated statements of comprehensive income. When the financial asset is derecognized, the cumulative fair value change recognized in OCI is recycled to profit or loss in the consolidated statements of comprehensive income.

As at May 31, 2025 and August 31, 2024, the Group does not have debt instruments at FVOCI.

Equity Instruments at FVOCI

For equity instruments that are not held for trading, the Group may irrevocably designate, at initial recognition, a financial asset to be measured at FVOCI when it meets the definition of equity instrument under PAS 32, "*Financial Instruments: Presentation*". This option is available and made on an instrument by instrument basis.

Dividends from equity instruments held at FVOCI are recognized in profit or loss when the right to receive payment is established, unless the dividend clearly represents a recovery of part of the cost of the investment. All other gains or losses from equity instruments are recognized in OCI and presented in the equity section of the consolidated statements of financial position. These fair value changes are recognized in equity and are not reclassified to profit or loss in subsequent periods, instead, these are transferred directly to retained earnings.

As at May 31, 2025 and August 31, 2024, the Group does not have equity instruments at FVOCI.

Financial Assets at FVPL

Financial assets that do not meet the criteria for being measured at amortized cost or FVOCI are classified under this category. Specifically, financial assets at FVPL include financial assets that are (a) held for trading, (b) designated upon initial recognition at FVPL, or (c) mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments.

This category includes debt instruments whose cash flows, based on the assessment at initial recognition of the assets, are not "solely for payment of principal and interest", and which are not held within a business model whose objective is either to collect contractual cash flows or to both collect contractual cash flows and sell.

This category also includes equity instruments which the Group had not irrevocably elected to classify at FVOCI at initial recognition.

After initial recognition, financial assets at FVPL are subsequently measured at fair value. Gains or losses arising from the fair valuation of financial assets at FVPL are recognized in profit or loss.

As at May 31, 2025 and August 31, 2024, the Group has no financial assets at FVPL.

Reclassification

The Group reclassifies its financial assets when, and only when, it changes its business model for managing those financial assets. The reclassification is applied prospectively from the first day of the first reporting period following the change in the business model (reclassification date).

For a financial asset reclassified out of the financial assets at amortized cost category to financial assets at FVPL, any gain or loss arising from the difference between the previous amortized cost of the financial asset and fair value is recognized in profit or loss.

For a financial asset reclassified out of the financial assets at amortized cost category to financial assets at FVOCI, any gain or loss arising from a difference between the previous amortized cost of the financial asset and fair value is recognized in OCI.

For a financial asset reclassified out of the financial assets at FVPL category to financial assets at amortized cost, its fair value at the reclassification date becomes its new gross carrying amount.

For a financial asset reclassified out of the financial assets at FVOCI category to financial assets at amortized cost, any gain or loss previously recognized in OCI, and any difference between the new amortized cost and maturity amount, are amortized to profit or loss over the remaining life of the investment using the effective interest method. If the financial asset is subsequently impaired, any gain or loss that has been recognized in OCI is reclassified from equity to profit or loss.

In the case of a financial asset that does not have a fixed maturity, the gain or loss shall be recognized in profit or loss when the financial asset is sold or disposed. If the financial asset is subsequently impaired, any previous gain or loss that has been recognized in OCI is reclassified from equity to profit or loss.

For a financial asset reclassified out of the financial assets at FVPL category to financial assets at FVOCI, its fair value at the reclassification date becomes its new gross carrying amount. Meanwhile, for a financial asset reclassified out of the financial assets at FVOCI category to financial assets at FVPL, the cumulative gain or loss previously recognized in OCI is reclassified from equity to profit or loss as a reclassification adjustment at the reclassification date.

Impairment of Financial Assets at Amortized Cost and FVOCI

The Group recognizes an allowance for expected credit loss (ECL) for all debt instruments not held at FVPL. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation to the asset's original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

In measuring ECL, the Group must reflect:

- An unbiased evaluation of a range of possible outcomes and their probabilities of occurrence;
- Discounting for the time value of money; and
- Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash in banks and refundable deposits, the Group applies the general approach in calculating ECLs. The Group recognizes a loss allowance based on either 12-month ECL or lifetime ECL, depending on whether there has been a significant increase in credit risk on its cash in banks and refundable deposits since initial recognition. The Group's cash are deposited in the top banks of the Philippines. Also, refundable deposits are deposited in highly credible service providers and lessors.

For trade receivables, the Group applies the simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a collectible from tenants with good ratings and can be offset against advance rentals and security deposits collected should default arises.

The Group also considers a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Group has determined that the application of impairment requirements of PFRS 9 as at May 31, 2025 and August 31, 2024 did not result into impairment losses in the Group's cash and cash equivalents, trade receivables, and refundable deposits which are measured at amortized cost.

Derecognition

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired;
- The Group retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a "pass-through" arrangement; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from a financial asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all the risks and rewards of ownership of the financial asset nor transferred control of the financial asset, the financial asset is recognized to the extent of the Group's continuing involvement in the financial asset. Continuing involvement that takes the form of a guarantee over the transferred financial asset is measured at the lower of the original carrying amount of the financial asset and the maximum amount of consideration that the Group could be required to repay.

Financial Liabilities

Initial Measurement

Financial liabilities are recognized initially at fair value, which is the fair value of the consideration received. In case of financial liabilities at amortized costs, the initial measurement is net of any directly attributable transaction costs.

Classification and Subsequent Measurement

The Group classifies its financial liabilities at initial recognition as either financial liabilities at FVPL or financial liabilities at amortized cost.

Financial liability at FVPL

Financial liabilities are classified in this category if these result from trading activities or derivatives transactions that are not accounted for as accounting hedges, or when the Group elects to designate a financial liability under this category.

As at May 31, 2025 and August 31, 2024, the Group does not have financial liabilities at FVPL.

Financial liabilities at amortized cost

Financial liabilities are categorized as financial liabilities at amortized cost when the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

After initial recognition, these financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the effective interest rate.

As at May 31, 2025 and August 31, 2024, the Group's trade and other payables (except statutory payables), security and utility deposits, dividends payable, and advances from clients under other current liabilities account are classified under this category.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statements of comprehensive income.

Fair Value Option

The Group may, at initial recognition, irrevocably designate a financial asset or liability that would otherwise have to be measured at amortized cost or FVOCI to be measured at FVPL if doing so would eliminate or significantly reduce an accounting mismatch or otherwise results in more relevant information.

Classification of Financial Instrument between Liability and Equity

A financial instrument is classified as liability if it provides for a contractual obligation to:

- Deliver cash or another financial asset to another entity;
- Exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Group; or
- Satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

If the Group does not have an unconditional right to avoid delivering cash or another financial asset to settle its contractual obligation, the obligation meets the definition of a financial liability.

Offsetting of Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statements of financial position.

Cash and Cash Equivalents

Cash is stated at face value and includes cash on hand and in banks. Cash equivalents are short-term highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less and that are subject to an insignificant risk of change in value.

Advances Subject to Liquidation

Advances subject to liquidation represent amounts advanced for goods or services that are yet to be delivered and from which the future economic benefits are expected to flow to the Group within the normal operating cycle or within 12 months from the end of financial reporting period. These are initially recorded at actual cash advanced to employees and are subsequently applied against actual purchases of related assets, cost or expenses incurred.

Creditable Withholding Taxes

Creditable withholding taxes are recognized for income taxes withheld by customers. The balance as at end of each reporting period represents the unutilized amount after deducting any income tax payable. Creditable withholding taxes are initially recognized at actual amount withheld by customers and subsequently stated at net recoverable amount (unutilized amount of creditable withholding taxes less any impairment).

Prepayments and Other Current Assets

Prepayments are expenses paid in advance and recorded as asset before they are utilized. This account comprises the following:

Input Value-added Tax (VAT)

Input VAT represents sales tax passed on to the Group by its VAT registered suppliers for the acquisition of goods and services as required by the Philippine taxation laws and regulations while output VAT are sales tax passed by the Group to its customers on its taxable sales. Input VAT is offset against any output VAT recognized, and vice versa.

Prepaid Expenses

Prepaid expenses are apportioned over the period covered by the payment and charged to the appropriate account in the Group's consolidated statements of comprehensive income when incurred. Prepaid expenses are stated at its realizable value.

Deferred Input VAT

Deferred input VAT represents portion of input VAT incurred and paid in connection with purchase of capital assets in excess of P1 million per month. As provided by Republic Act No. 9337 which is implemented by Revenue Regulation 4-2007, said portion of the input VAT shall be deferred and depreciated over the shorter of the expected useful lives of said capital assets or five years. Deferred input VAT is stated at its realizable value.

Maintenance Supplies

Maintenance supplies consist of general supplies valued at lower of cost or net realizable value. The initial cost of maintenance supplies is measured by its purchase price and is subsequently measured at cost less impairment, if any. Provision for losses is established for estimated losses on supplies which are determined based on specific identification of slow-moving, damaged and obsolete supplies and charged to operations.

Prepayments and other assets that are expected to be realized for not more than 12 months after the reporting period are classified as current asset. Otherwise, these are classified as other noncurrent asset.

Investments in Associates

Investment in shares of stock where the Group holds 20% or more ownership, or where it has the ability to significantly influence the investee company's operating activities is accounted for under the equity method. Under the equity method, the cost of investment is measured at cost which is the amount paid and is increased or decreased by the Group's equity in net earnings or losses of the investee company since the date of acquisition.

Any excess of the cost of acquisition over the Group's share in the fair value of the identifiable net assets of the associate at date of acquisition is recognized as goodwill. Any excess of the fair value of the identifiable assets, liabilities and contingent liabilities and assets of the investee company over cost is included in the determination of the Group's share of the profit or loss in the period in which the investment is acquired.

Under the equity method, investment in shares of stock is carried at cost adjusted by post-acquisition changes in the Group's share of the net assets of the investee. The Group's share in the investee's post-acquisition profits or losses is recognized in the consolidated statements of comprehensive income, and its share of post-acquisition movements in reserves is recognized in reserves, if any. The cumulative post-acquisition movements are adjusted against the carrying amount of investment. The carrying value is also decreased for any cash or property dividends received.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation, amortization and any impairment in value.

The initial cost of property and equipment comprises its purchase price or construction cost and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenses incurred after the property and equipment have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to operations in the period when the costs are incurred.

In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

Depreciation is computed using the straight-line method over the following estimated useful lives:

Transportation equipment	5-10 years
Furniture and fixtures	5-10 years
Other equipment	3 years

The useful life and depreciation and amortization methods are reviewed periodically to ensure the period and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the consolidated statements of comprehensive income in the year the asset is derecognized.

Investment Properties

Investment properties consist of properties held for lease and for capital appreciation. These are initially recorded at cost, including transaction cost. The carrying amount includes the cost of replacing part of an existing property at the time the cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of investment properties.

Subsequent to initial recognition, depreciable investment properties are carried at cost less accumulated depreciation and any impairment in value. Construction in progress is stated at cost less any impairment in value. This includes cost of construction and other direct costs. Land is stated at cost less any impairment in value.

Expenditures incurred after the investment properties have been put into operation, such as repairs and maintenance costs are normally charged to operations in the period in which the costs are incurred.

Depreciation is computed using the straight-line method over the following estimated useful lives:

Land improvements	3-5 years
Buildings	7-23 years
Building improvements	3-10 years

Construction in progress is not depreciated until such time as the relevant assets are completed and put into operational use.

The residual values and estimated useful lives of investment properties are reviewed, and adjusted if appropriate, at the end of each reporting period.

Investment properties are derecognized when these are disposed of or when the investment property is permanently withdrawn from use and there is no future economic benefit expected to arise from the continued use of the properties. Any gain or loss on the retirement or disposal of said properties are recognized in the consolidated statements of comprehensive income in the year of retirement or disposal. Transfers to, or from, investment property shall be made when, and only when, there is a change in use, evidenced by: (a) commencement of owner-occupation, for a transfer from investment property to owner-occupied property; (b) commencement of

development with a view to sale, for a transfer from investment property to inventories; (c) end of owner occupation, for a transfer from owner-occupied property to investment property; or, (d) commencement of an operating lease to another party, for a transfer from inventories to investment property. Transfers to or from investment properties are measured at the carrying value of the assets transferred.

Other Noncurrent Assets

Refundable Deposits

Refundable deposits are recorded at the amount received and subsequently stated at amortized cost less impairment loss, if any.

Impairment of Nonfinancial Assets

The carrying values of nonfinancial assets such as prepayments and other current assets, investments in associates, property and equipment, investment properties and RFID under other noncurrent assets are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If any such indication exists, and if the carrying value of an asset exceeds the estimated recoverable amount, the asset or cash generating unit is written down to its recoverable amount. The recoverable amount of the asset is the greater of net selling price or value in use. The net selling price is the amount obtainable from the sale of an asset in an arm's-length transaction less cost to sell.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash flows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. An impairment loss is charged to operations in the period in which it arises unless the asset is carried at a revalued amount in which case the impairment is charged to the revaluation increment of the said asset.

An assessment is made at each end of financial reporting period to determine whether there is any indication that an impairment loss previously recognized for an asset in prior years may no longer exist or may have decreased. If any such indication exists, the asset's recoverable amount is estimated.

A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the recoverable amount of an asset, however, not to an amount higher than the carrying amount that would have been determined (net of any depreciation), had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss. After such a reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Output VAT

Deferred output VAT pertains to output VAT on uncollected billings for services. This is reclassified to "Output VAT" upon collection of trade receivables. Deferred output VAT is stated at the actual amount billed to customers in accordance with pertinent tax laws and regulations.

Security and Utility Deposits

Security and utility deposits are initially measured at the amount received and subsequently measured at cost less impairment, if any. Amortization of security and utility deposits are recognized as “interest expense on security and utility deposits” in the consolidated statements of comprehensive income. The difference between the cash received and its fair value is recognized as “Security and utility deposit – discounted”.

Other Current Liabilities

Other current liabilities are measured initially at transaction price and are subsequently recognized at the undiscounted amount of cash or other consideration expected to be paid, less allowance for impairment, if any.

Related Party Transactions and Relationships

Related party transactions are transfers of resources, services or obligations between the Group and its related parties, regardless of whether a price is charged. Parties are considered to be related if one party has the ability to control the other party or exercises significant influence over the other party in making financial and operating decisions. These parties include: (a) individuals owning, directly or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Group; (b) associates; (c) individuals owning, directly or indirectly, an interest in the voting power of the Group that gives them significant influence over the Group and close members of the family of any such individual; and (d) other related parties such as directors, officers, and shareholders.

Transactions amounting to 10% or more of the total assets based on the latest audited consolidated financial statements that were entered into with related parties are considered material under SEC Memorandum Circular No. 10, Series of 2019, *"Rules on Material Related Party Transactions for Publicly-listed Companies"*.

All individual material related party transactions shall be approved by the BOD. For aggregate related party transactions within a 12-month period that breaches the materiality threshold, the same board approval would be required for the transaction(s) that meets and exceeds the materiality threshold covering the same related party.

Directors and officers with personal interest in the transaction should abstain from participating in discussions and voting on the same. In case they refuse to abstain, their attendance shall not be counted for the purpose of assessing the quorum and their votes shall not be counted for purposes of determining approval.

In considering each possible related party relationship, attention is directed to the substance of the relationship and not merely on the legal form.

Equity

Share Capital

Share capital is determined using the par value of shares that have been issued and fully paid.

The costs of acquiring the Group's own shares are presented as treasury shares and shown as a deduction from equity attributable to the Group's equity holders until the shares are cancelled or reissued. When such shares are subsequently sold or reissued, any consideration received, net of directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Group's equity holders.

Additional Paid-in Capital

Additional paid-in capital includes any premiums received on the initial issuance of share capital. Any transaction costs associated with the issuance of shares are deducted from additional paid-in capital, net of any related income tax benefits.

Accumulated Other Comprehensive Income (Loss)

Accumulated other comprehensive income (loss) comprises the share in other comprehensive income (loss) of the associates and cumulative actuarial gain reserve (which comprises the net actuarial gains and losses on the Group's retirement obligation as a result of remeasurement).

Retained Earnings

Retained earnings include all current and prior period net income less any dividends declared as disclosed in the consolidated statements of comprehensive income and the effects of retrospective application of changes in accounting policies or restatements, if any.

The Group recognizes a liability to pay dividends when the distribution is authorized and no longer at the discretion of the Group. A corresponding amount is recognized directly in equity. Stock dividends result in movement within the equity when approved by the shareholders and BOD of the Group.

Earnings Per Share (EPS)

Basic EPS is determined by dividing net profit for the year by the weighted average number of common shares outstanding during the year (after retroactive adjustment for any stock dividends declared in the current year).

Diluted EPS is computed by dividing net profit for the year by the weighted average number of common shares issued and outstanding during the year after giving effect to assumed conversion of potential common shares.

In determining both the basic and diluted earnings per share, the effect of stock dividends, if any, is accounted for retroactively.

Revenue Recognition

The Group recognizes revenue to depict the transfer of promised goods or services to the customer in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The Group applies the following five steps:

- a. Identify the contract(s) with a customer;
- b. Identify the separate performance obligations in the contract;
- c. Determine the transaction price;
- d. Allocate the transaction price; and
- e. Recognize revenue when a performance obligation is satisfied.

The following specific recognition criteria must also be met before revenue is recognized:

Rental Income

Rental income is recognized on a straight-line basis over the lease term stipulated in the lease agreement.

Interest Income

Interest income is accrued on a timely basis, by reference to the principal amount outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount.

Other Operating Income

Other operating income represents electricity, water, common maintenance, parking and other charges reimbursed and billed to tenants by the Group which is accrued on a timely basis and recognized upon utilization of the service and billed to tenants.

Cost and Expense Recognition

Costs, general and administrative, selling and marketing expenses and other expenses are recognized in the consolidated statements of comprehensive income upon utilization of the service or at the date these are incurred. Interest and similar expenses are reported on accrual basis.

Leases

The Group assesses whether the contract is, or contains, a lease. To assess whether a contract conveys the right to control the use of an identified asset for a period of time, the Group assesses whether, throughout the period of use, it has the following:

- the contract involves an identified asset – this may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Group has the right to direct the use of the asset. The Group when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. The Group has the right to direct the use of the asset of either:
 - a. the Group has the right to operate the asset; or
 - b. the Group designed the asset in a way that predetermines how and for what purpose it will be used.

The Group as a Lessee

At the commencement date, the Group recognizes right-of-use (ROU) asset and lease liability at the date of initial application for all leases, except for leases with lease terms of 12 months or less (short-term leases) and leases for which the underlying asset is of low value in which case the lease payments associated with those leases are recognized as an expense on a straight-line basis.

ROU Assets

The Group recognizes ROU assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). ROU assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of ROU assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized ROU assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term.

Lease Liabilities

A lease liability is initially measured at the present value of future lease payments using the interest rate implicit in the lease, if that rate cannot be readily determined, the Group uses its incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability are comprised of the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments option renewal period if the Group is reasonably to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

A lease liability is subsequently measured at amortized cost. Interest on the lease liability and any variable lease payments not included in the measurement of lease liability are recognized in profit or loss unless these are capitalized as costs of another asset. Variable lease payments not included in the measurement of the lease liability are recognized in profit or loss when the event or condition that triggers those payments occurs.

If there is a change in the lease term or if there is a change in the assessment of an option to purchase the underlying asset, the lease liability is remeasured using a revised discount rate considering the revised lease payments on the basis of the revised lease term or reflecting the change in amounts payable under the purchase option. The lease liability is also remeasured using the revised lease payments if there is a change in the amounts expected to be payable under a residual value guarantee or a change in future lease payments resulting from a change in an index or a rate used to determine those payments.

Short-term Leases and Leases of Low-Value Assets

The Group applies the short-term lease recognition exemption to its short-term lease of photocopier machine (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the leases of low-value assets recognition exemption to lease of photocopier machine that is considered of low value. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

The Group as a Lessor

Leases where the Group retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized on a straight-line basis over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which these are earned.

Employee Benefits

Short-term Employee Benefits

Short-term employee benefits are recognized as expense in the period when the economic benefits are given. Unpaid benefits at the end of the accounting period are recognized as accrued expense while benefits paid in advance are recognized as prepayment to the extent that it will lead to a reduction in future payments. Short-term employee benefits given by the Group include salaries and wages, life and health insurances, social security system contributions, short-term compensated absences, bonuses and other non-monetary benefits.

Retirement Benefit Costs

Pension asset or liability, as presented in the consolidated statements of financial position, is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, adjusted for the effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method. The retirement benefit cost is comprised of the service cost, net interest on the net defined benefit liability or asset and remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, difference between return on plan assets and interest income (calculated as part of the net interest) and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income (loss) in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Termination Benefits

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either an entity's decision to terminate an employee's employment before the normal retirement date or an employee's decision to accept an offer of benefits in exchange for the termination of employment.

A liability and an expense for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of those benefits and when the entity recognizes related restructuring costs. Initial recognition and subsequent changes to termination benefits are measured in accordance with the nature of the employee benefit, as either post-employment benefits, short-term employee benefits, or other long-term employee benefits.

Employee Leave Entitlement

Employee entitlements to annual leave are recognized as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before 12 months after the end of the annual reporting period is recognized for services rendered by employees up to the end of the reporting period.

Income Taxes

Income taxes represent the sum of the tax currently due and deferred tax.

Current Income Tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rate and tax laws used to compute the amounts are those that have been enacted or substantively enacted at the consolidated statements of financial position reporting date. Excess of income tax expense for the period over prepaid taxes (including creditable withholding taxes) is recognized as income tax still due (payable) in the consolidated statements of financial position.

Deferred Income Tax

Deferred tax is provided using the liability method on all temporary differences at the consolidated statements of financial position date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carry forward benefits of unused tax credit from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carry forward benefits of unused tax credits and unused tax losses can be utilized.

Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss. The carrying amount of deferred income tax assets is reviewed at each consolidated statements of financial position date and reduced to the extent that is no longer probable that sufficient taxable income will be available to allow all or part of the deferred income tax asset to be utilized. Unrecognized deferred income tax assets are reassessed at each consolidated statements of financial position date and are recognized to the extent that it has become probable that future taxable income will allow the deferred income tax to be recovered.

Deferred income tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the consolidated statements of financial position date.

Current income tax and deferred income tax relating to items recognized directly in equity is also recognized in equity and not in the consolidated statements of comprehensive income.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and deferred income taxes related to the same taxable entity and the same taxation authority.

Provisions

Provisions are recognized only when the following conditions are met: a) there exists a present obligation (legal or constructive) as a result of past event; b) it is probable (i.e., more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation; and c) reliable estimate can be made of the amount of the obligation. Provisions are reviewed at each end of financial reporting period and adjusted to reflect the current best estimate.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits will be remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable.

Events After the End of the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events are disclosed in the notes to the consolidated financial statements when material.

3. Significant Critical Accounting Judgments, Estimates and Assumptions

The preparation of the Group's consolidated financial statements in conformity with PFRS requires management to exercise judgments and make accounting estimates and assumptions that affect the amounts reported in the consolidated financial statements and related notes.

The judgments and accounting estimates used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as at the reporting date. Actual results could differ from such estimates, and such estimates will be adjusted accordingly.

The following is a summary of these significant estimates and judgments and the related impact and associated risks on the consolidated financial statements.

Judgments

In the process of applying the Group's accounting policies, the management has made the following judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Determining Functional Currency

Based on the economic substance of the underlying circumstances relevant to the Group, the functional currency of the Group has been determined to be the Philippine peso. The Philippine peso is the currency of the primary economic environment in which the Group operates. It is the currency that mainly influences the revenues and expenses of the Group.

Identification of Contract with Customers under PFRS 15

The Group applied PFRS 15 guidance to a portfolio of contracts with similar characteristics as the Group reasonably expects that the effects on the separate financial statements of applying this guidance to the portfolio would not differ materially from applying this guidance to the individual contracts within that portfolio. Hence, the Group has single contracts for its sales of services.

Identifying Performance Obligations

The Group identifies performance obligations by considering whether the promised goods or services in the contract are distinct goods or services. A good or service is distinct when the customer can benefit from the good or service on its own or together with other resources that are readily available to the customer and the Group's promise to transfer the good or service to the customer is separately identifiable from the other promises in the contract. However, the Group has a single performance obligation in its contracts with customers.

Determination Whether an Arrangement Contains a Lease

The Group assesses whether an arrangement contains a lease based on PFRS 16, as disclosed in Note 2. On adoption of PFRS 16, the Group elected to apply the practical expedient to grandfather the assessment of which transactions are leases. It applied PFRS 16 only to contracts that were previously identified as leases. Contracts that were not identified as leases under PAS 17 and IFRIC 4 were not reassessed for whether there is a lease. Therefore, the definition of lease under PFRS 16 was applied only to contracts entered into or changed on or after September 1, 2019.

The details of these lease agreements are disclosed in Note 15.

Group as a Lessor

The Group has entered into a commercial property lease on its properties. The Group has determined, based on an evaluation of the terms and conditions of the arrangements, that it retains all the significant risks and rewards of ownership of the properties and thus accounts for the contracts as operating leases.

Rental income arising from operating leases amounted to P164,486,828 and P205,944,061 for the nine months and a year ended May 31, 2025 and August 31, 2024 (see Note 18).

Determining the Lease Term of Contracts with Renewal and Termination Options – Group as Lessee

The Group determines the lease term as the noncancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group has lease contracts that include extension and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset).

The Group did not include the renewal period as part of the lease term even though the Group typically exercises its option to renew for these leases because the Group does not have an enforceable right to extend the lease beyond the noncancellable period.

Determination of Control

The Group determines control when it is exposed, or has rights, to variable returns from its involvement with an entity and has the ability to affect those returns through its power over the equity. The Group controls an entity if and only if the Group has all of the following:

- Power over the entity;
- Exposure, or rights, to variable returns from its involvement with the entity; and
- The ability to use its power over the entity to affect the amount of the Group's returns.

The Group regularly reassesses whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

Significant Interest over an Associate

Note 7 describes that Nightingale Holdings, Inc. (NHI), Saratoga Holdings, Inc. (SHI), Le Rossignol, Inc. (LRI), and Kombi Land, Inc. (KLI) are associates of the Group although the Group only have 19.35%, 18.03%, 18% and 19.68% ownership interest in NHI, SHI, LRI, and KLI, respectively. The Group has significant influence over NHI, SHI, LRI and KLI due to the Group's representation in the BOD of associates and participates on their policy-making procedures.

Distinction between Investment Property and Owner-Occupied Property

The Group determines whether a property qualifies as investment property. In making its judgment, the Group considers whether the property generates cash flows largely independent of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to property but also to the other assets used in the supply process.

Some properties are held to earn rentals or for capital appreciation and other properties are held for use in rendering of services or for administrative purposes. If these portions cannot be sold separately, the property is accounted for as investment property only if an insignificant portion is held for use in providing services or for administrative purposes. Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as investment property. The Group considers each property in making its judgment.

Determination of Fair Value of Advance Rentals, Security and Utility Deposits

In determining the fair value of financial assets and liabilities recorded in the consolidated statements of financial positions, the Group uses a variety of valuation techniques if these cannot be derived from active markets. As such, fair value of advance rentals, security and utility deposits that are due after one year is determined using the discounted cash flow method.

Realizability of Deferred Income Tax Assets

The Group reviews the carrying amounts of deferred income tax assets at each consolidated statements of financial position date and reduces deferred income tax assets to the extent that is no longer probable that sufficient taxable income will be available to allow all or part of the deferred income tax assets to be utilized.

Deferred tax assets as at May 31, 2025 and August 31, 2024 amounted to P4,982,881 and P4,660,340, respectively (see Note 23).

Business Model Assessment

Classification and measurement of financial assets depends on the results of the SPPI and the business model test. The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment reflecting all relevant evidence including how the performance of the assets is evaluated and their performance measured, the risks that affect the performance of the assets and how these are managed and how the managers of the assets are compensated. Monitoring is part of the Group's continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets.

Significant Increase of Credit Risk

Where the fair values of financial assets and financial liabilities recorded on the consolidated statements of financial position cannot be derived from active markets, they are determined using internal valuation techniques using generally accepted market valuation models. The input to these models is taken from observable markets where possible, but where this is not feasible, estimates are used in establishing fair values. These estimates may include considerations of liquidity, volatility and correlation.

Classification of Financial Instruments

The Group exercises judgment in classifying financial instruments in accordance with PAS 39. The Group classifies a financial instrument, or its components, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement and the definitions of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the Group's statements of financial position.

Determining the Fair Values of Financial Instruments

Where the fair values of financial assets and financial liabilities recorded in the consolidated statements of financial position account cannot be derived from active markets, they are determined using valuation techniques including the discounted cash flows model. The inputs to this model are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

The summary of the carrying values and fair values of the Group's financial instruments as at May 31, 2025 and August 31, 2024 is shown in Note 27.

Estimates and Assumptions

The key estimates and assumptions used in the consolidated financial statements are based upon the Group's evaluation of relevant facts and circumstances as at the date of the financial statements. Actual results could differ from such estimates.

Impairment of Financial Assets

The Group uses the expected credit losses model in estimating the level of the allowances which includes forecast of future events and conditions. A credit loss is the difference between the cash flows that are expected to be received discounted at the original effective interest rate. The model represents a probability – weighted estimate of the difference over the remaining life of receivables. The maturity of the remaining trade receivables of the Group is less than one year so the lifetime expected credit losses and the 12 months expected credit losses are similar. In addition, management assessed the credit risk of the trade receivables as at the reporting date as low, therefore the Group's trade receivables need not have to be assessed whether significant increase in credit risk has occurred.

No expected credit loss on trade receivables were considered as at May 31, 2025 and August 31, 2024 because the management believes that all trade receivables can be collected.

The carrying values of trade receivables amounted to P8,106,011 and P4,905,914 as at May 31, 2025 and August 31, 2024, respectively (see Note 5).

Estimation of Useful Lives of Property and Equipment and Investment Properties

The Group estimates useful lives of its property and equipment and investment properties based on years over which the properties are expected to be available for use. Estimated useful lives are reviewed at least annually and are updated if expectations differ from previous estimates due to physical wear and tear and obsolescence on the use of the assets.

The carrying values of property and equipment amounted to P1,269,177 and P2,068,871 as at May 31, 2025 and August 31, 2024, respectively (see Note 8), while the carrying values of investment properties amounted to P76,047,531 and P83,020,769 as at May 31, 2025 and August 31, 2024, respectively (see Note 9).

Depreciation expense recognized in the cost of services amounted to P9,048,772 and P13,075,440 for the nine months and a year ended May 31, 2025 and August 31, 2024, respectively (see Notes 9 and 19).

Depreciation expense recognized in the general and administrative expenses amounted to P799,694 and P1,339,303 for the nine months and a year ended May 31, 2025 and August 31, 2024, respectively (see Notes 8 and 20).

Estimating Impairment and Recoverable Values of Nonfinancial Assets

PFRS requires that an impairment review be performed when certain impairment indicators are present. This requires an estimation of the value in use of the cash-generating units to which the assets belong. Estimating the value in use requires the Group to make an estimate of the expected future cash flows from the cash-generating units and also to choose a suitable discount rate in order to calculate the present value of those cash flows.

Determining the recoverable amount of prepayments and other current assets, investment in subsidiary, investment properties, property and equipment and RFID under other noncurrent assets requires the determination of future cash flows expected to be generated from the continued use and ultimate disposal of such assets. Future event could cause management to conclude that assets associated with an acquired business are impaired. Any resulting impairment loss could have a material adverse impact on the Group's financial position and financial performance.

The preparation of estimated future cash flows involves significant estimations and assumptions. While the Group believes that its assumptions are appropriate and reasonable, significant changes in the Group's assumptions may materially affect the assessment of recoverable values and may lead to future additional impairment charges under PFRS.

No reversal or impairment loss was recognized for the nine months and a year ended May 31, 2025 and August 31, 2024.

The carrying amounts of prepayments and other current assets, investments in associates, property and equipment, investment properties and other noncurrent assets are disclosed in Notes 6, 7, 8, 9 and 10, respectively.

Estimation of Provisions for Contingencies

The Group evaluates legal and administrative proceedings to which it is involved based on analysis of potential results. Management and its legal counsels do not believe that any current proceedings will have material adverse effects on its financial position and results of operations. It is possible, however, that future results of operations could be materially affected by changes in the estimates or in the effectiveness of strategies relating to these proceedings.

4. Cash and Cash Equivalents

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Cash on hand	P35,000	P35,000
Cash in bank	63,809,063	108,146,719
Time deposits	430,139,473	362,538,965
	P493,983,536	P470,720,684

Cash in banks representing regular savings deposits generally earn interest based on the respective prevailing bank deposit rates. Time deposits, which represent special savings deposits, are made for varying periods depending on the immediate cash requirements of the Group. The short-term time deposits have an average maturity of 30 to 91 days. Time deposits denominated in Philippine peso earn interest ranging from 4% to 6.5% for the nine months ended May 31, 2025 and 3.50% to 6.50% per annum for the year ended August 31, 2024.

Interest income, net of final withholding taxes, earned on cash in banks and time deposits, presented in the consolidated statements of comprehensive income, amounted to P12,065,163 and P14,026,742 for the nine months and a year ended May 31, 2025 and August 31, 2024, respectively.

5. Trade Receivables

Trade receivables amounting to P8,106,011 and P4,905,914 as at May 31, 2024 and August 31, 2024, respectively, are noninterest-bearing and are generally on a 30-day term.

As at June 24, 2025, 99.9% of trade receivables were subsequently collected, thus no allowance for impairment loss was provided.

No trade receivables are pledge as security for liabilities as of the end of the reporting period.

6. Prepayments and Other Current Assets

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Prepaid taxes and licenses	P5,088,801	P3,171,900
Prepaid insurance	1,404,327	823,377
Maintenance supplies	576,708	425,800
Deferred input VAT	—	9,236
Others	1,389,945	987,990
	P8,459,781	P5,418,303

Maintenance supplies consists of materials, parts and other supplies.

Others consist of prepayments for safety inspection of buildings and service fee.

No allowance for decline in maintenance supplies recognized as of May 31, 2025 and August 31, 2024.

7. Investments in Associates

The analysis of the balances of investments in associates follow:

	May 31, 2025				
	NHI	SHI	LRI	KLI	Total
% of ownership	19.35%	18.03%	18.00%	19.68%	
Acquisition cost	P15,600,000	P15,400,000	P6,156,650	P60,000,000	P97,156,650
Share in cumulative equity					
in net income (loss):					
Balance at beginning of year	2,329,147	2,477,341	(898,923)	12,633,185	16,540,750
Equity in net income during the period	881,468	378,061	4,268	630,673	1,894,470
Balance at end of year	3,210,615	2,855,402	(894,655)	13,263,858	18,435,220
Share in cumulative equity					
in net loss:					
Balance at beginning of year	—	—	—	(12,046,128)	(12,046,128)
Equity in net loss during the year	—	—	—	(851,160)	(851,160)
Balance at end of year	—	—	—	(12,897,288)	(12,897,288)
Share in dividend income					
at beginning and end of year	—	—	—	(9,840,000)	(9,840,000)
Net carrying value	P18,810,615	P18,255,402	P5,261,995	P50,526,570	P92,854,582

	August 31, 2024				
	NHI	SHI	LRI	KLI	Total
% of ownership	19.35%	18.03%	18.00%	19.68%	
Acquisition cost	P15,600,000	P15,400,000	P6,156,650	P60,000,000	P97,156,650
Share in cumulative equity					
in net income (loss):					
Balance at beginning of year	2,637,450	2,348,757	(1,034,686)	11,294,927	15,246,448
Equity in net income (loss) during the year	(308,303)	128,584	135,763	1,338,258	1,294,302
Balance at end of year	2,329,147	2,477,341	(898,923)	12,633,185	16,540,750
Share in cumulative equity					
other comprehensive loss:					
Balance at beginning of year	—	—	—	(7,790,328)	(7,790,328)
Equity in other comprehensive loss during the year	—	—	—	(4,255,800)	(4,255,800)
Balance at end of year	—	—	—	(12,046,128)	(12,046,128)
Share in dividend income					
income	—	—	—	(9,840,000)	(9,840,000)
Net carrying value	P17,929,147	P17,877,341	P5,257,727	P50,747,057	P91,811,272

Investment in NHI

NHI's primary purpose is to invest in, purchase, or otherwise acquire and own, hold, use, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of real and personal property of every kind and description, including shares of stocks, bonds, debentures, notes, evidences of indebtedness, and other securities or obligations of any corporations, associations, domestic or foreign, for whatever lawful purposes, the same may have been organized and to pay therefore in money of by exchanging therefore stocks, other evidences of indebtedness or securities of this or any other corporation, stock, bonds, debentures, contracts, or obligations, to receive, collect, and dispose for the interest, dividends, and income arising from such property, and to possess and exercise in respect thereof, all the rights, powers and privileges of ownership.

NHI owns a parcel of land with an area of 933 square meters along San Miguel Avenue in Ortigas Center, Pasig City. The property is leased out to Linden Suites Inc. The land is carried on the books of NHI at P31.3 million but has a market value of P522.5 million as appraised by an independent firm of appraisers dated May 14, 2024.

As at August 31, 2016, the Subsidiary deposited P15.6 million for future subscription to NHI when the latter applied for the increase of its capital stock in SEC. Upon approval, the Subsidiary shall have 19.35% equity on the stockholdings of NHI. NHI's application was approved by the SEC on September 21, 2016. The deposit was subsequently reclassified and recognized as investment in associate as at August 31, 2017.

NHI and the Group do not have the same reporting periods. NHI prepares its financial statements as at and for the calendar year ending December 31 which is different from the Group's reporting period as at and for the fiscal year ending August 31. For the purpose of determining the equity in the net income (loss) of NHI, the latest available financial statements (unaudited) were used, which is March 31, 2025 and June 30, 2024.

The equity in net income (loss) for the nine months ended May 31, 2025 and a year ended August 31, 2024 are based on NHI's unaudited net income (loss) for the nine months ended March 31, 2025 and a year ended June 30, 2024, respectively.

Summarized financial information of NHI with respect to the Group's investment is set out below:

	Mar 31, 2025 (Unaudited)	Jun 30, 2024 (Unaudited)
Total assets	P148,104,807	P133,224,196
Total liabilities	9,750,027	11,102,815
Net assets	138,354,780	122,121,381
Revenue	4,487,561	839,822
Net income (loss) for the period	4,555,388	(1,593,299)

No dividend income was received for the nine months and a year ended May 31, 2025 and August 31, 2024.

NHI owns 1,621,946 shares of stock of PTFC. The shares are carried on the books of NHI at a market value of P69.6 million versus an acquisition cost of P17.0 million.

Investment in SHI

SHI's primary purpose is to invest in, purchase, or otherwise acquire and own, hold, use, sell, transfer, mortgage, pledge, exchange, or otherwise dispose of real and personal property of any kind and description, including shares of stocks, bonds, debentures, notes, evidences of indebtedness, and other securities or obligations of any corporation, association, domestic or foreign.

SHI owns parcels of land with a total area of 6,904 square meters which are leased to various individuals with business establishments. The land is carried on the books of SHI at P18.7 million but has a market value of P587.0 million as appraised by an independent firm of appraisers dated May 09, 2024.

In 2016, the Subsidiary acquired 110,000 of shares or 18.03% equity in the shareholdings of SHI at P140 per share when the application for increase in capital stock of SHI was approved by the SEC on August 31, 2016.

SHI and the Group do not have the same reporting periods. SHI prepares its financial statements as at and for the calendar year ending December 31 which is different from the Group's reporting period as at and for the fiscal year ending August 31. For the purpose of determining the equity in net income of SHI, the latest available financial statements (unaudited) were used, which is March 31, 2025 and June 30, 2024.

The equity in net income for the nine months ended May 31, 2025 and a year ended August 31, 2024 are based on SHI's unaudited net income for the nine months ended March 31, 2025 and a year ended June 30, 2024, respectively.

Summarized financial information of SHI with respect to the Group's investment is set out below:

	Mar 31, 2025 (Unaudited)	Jun 30, 2024 (Unaudited)
Total assets	P158,952,595	P140,923,638
Total liabilities	9,303,618	9,248,018
Net assets	149,648,977	131,675,620
Revenue	351,456	456,038
Net income for the period	2,096,846	713,165

No dividend income was received for the nine months and a year ended May 31, 2025 and August 31, 2024.

SHI's owns 2,205,071 shares of stock of PTFC. The shares are carried on the books of SHI at a market value of P94.6 million versus an acquisition cost of P22.5 million.

Investment in LRI

LRI is a company engaged in leasing of properties. LRI owns a property of 1,553 square meters along Agoho Street in Forbes Park, Makati City. This property was acquired for P35.6 million but has a market value of P759.2 million based on report dated April 24, 2024 as appraised by independent firm of appraisers. It is leased to a third party.

The Subsidiary had 40% equity in the shareholdings of LRI recognized as investment in associate. In 2009, due to the increase of capital stock and changes of ownership structure of LRI, the Subsidiary's ownership in LRI was reduced to 18%.

LRI and the Group do not have the same reporting periods. LRI prepares its financial statements as at and for the calendar year ending December 31 which is different from the Group's reporting period as at and for the fiscal year ending August 31. For the purposes of determining the equity in net income of LRI for the nine months ended May 31, 2025 and a year ended August 31, 2024, the latest available unaudited financial statements as at March 31, 2025 and June 30, 2024 were used.

The equity in net income for the nine months ended May 31, 2025 and a year ended August 31, 2024 are based on the increase or decrease on the Group's share on LRI's net assets as of the latest available financial information.

Summarized financial information of LRI with respect to the Group's investment is set out below:

	Mar 31, 2025 (Unaudited)	Jun 30, 2024 (Unaudited)
Total assets	P67,220,675	P65,437,119
Total liabilities	37,987,369	36,227,525
Net assets	29,233,306	29,209,594
Revenue	5,764,500	7,560,000
Net income for the period	23,712	754,241

No dividend income was received for the nine months and a year ended May 31, 2025 and August 31, 2024.

LRI owns 5,000 shares of stock of PTFC. The shares are carried at the books of LRI at a market value of P214,500 versus an acquisition cost of P52,831.

Investment in KLI

KLI is a company that is engaged in business primarily to acquire by purchase, exchange, assignment, donation, or otherwise and to own, use, improve, develop, subdivide, sell, mortgage, encumber, exchange, lease and hold for investment or otherwise, real estate of all kinds, whether improved or unimproved, including buildings, houses, apartments, factories, warehouse, edifices and other structures of whatever kind, together with their appurtenances, and any right or interest therein. The Company is also registered with the Philippine Economic Zone Authority (PEZA) as an Economic Zone Facilities Enterprise. It owns various commercial and industrial properties in Malvar and Lipa City, Batangas, with a total area of 30,795 square meters. The land is carried on the books of KLI at P70.3 million.

In 2018, the Subsidiary acquired 49,000 shares or 19.68% equity in the shareholdings of KLI for P60 million. The Subsidiary paid an initial non-refundable amount of P15 million to KLI under the subscription agreement and subsequently paid the remaining P45 million upon approval of the transaction by the SEC.

KLI and the Group do not have the same reporting periods. KLI prepares its financial statements as at and for the calendar year ending December 31 which is different from the Group's reporting period as at and for the fiscal year ending August 31. For the purposes of determining the equity in net income of KLI, the latest available financial statements (unaudited) were used, which is March 31, 2025 and June 30, 2024.

The equity in net income for the nine months ended May 31, 2025 and a year ended August 31, 2024 are based on KLI's unaudited net income for the nine months ended March 31, 2025 and a year ended June 30, 2024, respectively.

Summarized financial information of KLI with respect to the Group's investment is set out below:

	Mar 31, 2025 (Unaudited)	Jun 30, 2024 (Unaudited)
Total assets	P275,201,848	P276,648,690
Total liabilities	59,790,431	60,899,659
Net assets	215,411,417	215,749,031
Revenue	1,098,021	1,464,029
Net income for the period	3,204,637	6,800,091

KLI owns 108,715 shares of stock of PTFC. The shares are carried on the books of KLI at a market value of P4.7 million versus acquisition cost of P1.1 million.

The Group's investments in associates have been reviewed for indicators of impairment. Accordingly, no provision is required as of May 31, 2025 and August 31, 2024.

8. Property and Equipment

This account consists of:

	Aug 31, 2024 (Audited)	Additions/ Reclassification	Disposal/ Reclassification	May 31, 2025 (Unaudited)
Cost:				
Land	P133,838	P–	P–	P133,838
Transportation equipment	4,800,089	–	–	4,800,089
Furniture and fixtures	233,371	–	–	233,371
Other equipment	6,813,025	–	–	6,813,025
	11,980,323	–	–	11,980,323
Less accumulated depreciation:				
Transportation equipment	3,472,847	521,464	–	3,994,311
Furniture and fixtures	233,371	–	–	233,371
Other equipment	6,205,234	278,230	–	6,483,464
	9,911,452	799,694	–	10,711,146
	P2,068,871			P1,269,177

	Aug 31, 2023 (Audited)	Additions/ Reclassification	Disposal/ Reclassification	Aug 31, 2024 (Audited)
Cost:				
Land	P133,838	P–	P–	P133,838
Transportation equipment	4,800,089	–	–	4,800,089
Furniture and fixtures	233,371	–	–	233,371
Other equipment	6,813,025	–	–	6,813,025
	11,980,323	–	–	11,980,323
Less accumulated depreciation:				
Transportation equipment	2,649,288	823,559	–	3,472,847
Furniture and fixtures	233,371	–	–	233,371
Other equipment	5,689,490	515,744	–	6,205,234
	8,572,149	1,339,303	–	9,911,452
	P3,408,174			P2,068,871

Depreciation amounting to P799,694 and P1,339,303 were included in General and Administrative Expenses in the consolidated statements of comprehensive income as of May 31, 2025 and August 31, 2024, respectively (see Note 20).

All fully depreciated property and equipment amounting to P5.6 million as at May 31, 2025 and P6.8 million as at August 31, 2024 are still in use and not retired from active use.

No property and equipment are pledged as security for liabilities as of May 31, 2025 and August 31, 2024. Also, there are no contractual commitments to purchase property and equipment.

No impairment loss was recognized as of May 31, 2025 and August 31, 2024. Management believes that the carrying amount approximates its fair value.

9. Investment Properties

This account consists of:

	Aug 31, 2024 (Audited)	Additions/ Reclassification	Disposal/ Reclassification	May 31, 2025 (Unaudited)
Cost:				
Land	P713,122	P–	P–	P713,122
Land improvements	15,305,150	–	–	15,305,150
Buildings	225,891,295	–	–	225,891,295
Building improvements	79,353,817	–	–	79,353,817
Construction in progress	–	2,075,534	–	2,075,534
	321,263,384	2,075,534	–	323,338,918
Less accumulated depreciation:				
Land improvements	14,813,147	311,148	–	15,124,295
Buildings	182,358,806	3,201,748	–	185,560,554
Building improvements	41,070,662	5,535,876	–	46,606,538
	238,242,615	9,048,772	–	247,291,387
	P83,020,769			P76,047,531

	Aug 31, 2023 (Audited)	Additions/ Reclassification	Disposal/ Reclassification	Aug 31, 2024 (Audited)
Cost:				
Land	P713,122	P–	P–	P713,122
Land improvements	15,305,150	–	–	15,305,150
Buildings	225,891,295	–	–	225,891,295
Building improvements	74,175,245	5,178,572	–	79,353,817
	316,084,812	5,178,572	–	321,263,384
Less accumulated depreciation:				
Land improvements	13,862,102	951,045	–	14,813,147
Buildings	178,089,807	4,268,999	–	182,358,806
Building improvements	33,215,266	7,855,396	–	41,070,662
	225,167,175	13,075,440	–	238,242,615
	P90,917,637			P83,020,769

Rent income recognized on investment properties amounted to P164,486,828 and P205,944,061 as of May 31, 2025 and August 31, 2024, respectively.

Depreciation amounting to P9,048,772 and P13,075,440 were charged to "Cost of services" in the consolidated statements of comprehensive income for the nine months ended May 31, 2025 and a year ended August 31, 2024, respectively (see Note 19).

The total cost of services amounting to P60,357,749 for the nine months ended May 31, 2025 and P78,567,441 for the year ended August 31, 2024 pertain to the direct operating expenses arising from investment properties that generated rental income during the period.

Moreover, the total general and administrative expenses amounted to P24,962,179 for the nine months ended May 31, 2025 and P29,615,226 for the year ended August 31, 2024 pertain to the direct operating expenses arising from investment properties that did not generate rental income during the periods, which is the insignificant portion of the investment properties held for administrative purposes.

No investment properties are pledged as security for liabilities as at May 31, 2025 and August 31, 2024. There is also no impairment loss recognized as of May 31, 2025 and August 31, 2024.

The fair value of the investment properties is P6.0 billion based on the valuations performed by qualified and independent firm of appraisers on April 30, 2024 on the Group's investment properties in 2024. The valuation undertaken considered the sales of similar or substitute properties and related market data and established estimated value by processes involving comparison.

The fair value determined by qualified independent appraisers suggests that the value of the Parent Company's investment property have increased. However, no adjustment is made in the Parent Company's books since the Parent Company uses the cost model.

10. Other Noncurrent Assets

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Refundable deposits	P1,919,507	P2,089,353
RFID	198,325	208,881
	P2,117,832	P2,298,234

Refundable deposits pertain to utility deposits such as water, power and telephone, performance bond and deposits to insurance broker.

RFID refers to the cost of security identification cards purchased and issued for the use of the tenants of warehouses in Baesa.

No other noncurrent assets were impaired as of May 31, 2025 and August 31, 2024.

11. Trade and Other Payables

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Accrued expenses	P2,454,078	P2,949,780
Accounts payable – trade and others	5,888	5,888
	P2,459,966	P2,955,668

Accrued expenses include accrual of security services, maintenance services, legal and audit fees, and retention fees.

All trade and other payables are noninterest-bearing.

12. Security and Utility Deposits

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Security deposits – net of discount (Note 15)	P40,699,324	P38,842,814
Utilities	42,154	42,154
Total	40,741,478	38,884,968
Less security deposits – current	1,629,413	2,215,461
	P39,112,065	P36,669,507

Security and utility deposits pertain to rental, water and electricity deposits paid by tenants that are refundable at the end of the lease term.

Unamortized discount on security deposits amounted to P851,202 and P965,240 as at May 31, 2025 and August 31, 2024, respectively. Amortization of discount recognized as interest expense in the consolidated statements of comprehensive income amounted to P181,990 and P59,222 as of May 31, 2025 and August 31, 2024, respectively.

13. Other Current Liabilities

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Output VAT	P1,900,531	P3,882,202
Expanded withholding tax	129,006	141,898
Advances from clients	91,854	93,804
Withholding tax compensation	73,037	75,486
Other government payables	4,192	10,352
	P2,198,620	P4,203,742

Other government payables pertain to SSS, PHIC and HDMF payables.

14. Retirement Benefit Costs

As at and for the year ended August 31, 2024, the management did not obtain any actuarial valuation to determine or remeasure the current service cost, net interest cost and retirement benefit obligation using actuarial assumptions before and after the settlement or retirement of twenty (20) employees in 2020.

As at and for the nine months ended May 31, 2025, the management likewise did not obtain any actuarial valuation since there were no employees qualified for retirement benefits.

The Group hired service providers starting September 1, 2020 in support for its continuous operations.

The 8 and 9 employees of the Group as at May 31, 2025 and August 31, 2024, respectively, are project-based and are not entitled for retirement benefits.

No retirement benefit cost charged and obligation recognized for the nine months ended May 31, 2025 and a year ended August 31, 2024 since no employees qualified for retirement benefits.

15. Lease Transactions

The disaggregation of revenue based on location are shown below:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)	May 31, 2024 (Unaudited)
Baesa warehouse	P103,535,324	P124,858,996	P91,662,498
Balintawak warehouse	34,940,937	45,099,554	33,675,646
Baesa Town Center	26,010,567	35,985,511	27,713,392
	P164,486,828	P205,944,061	P153,051,536

Lease terms on buildings ranges from one (1) month to ten (10) years, which can be renewed subject to negotiations.

The Contract of Lease also provides for two (2) months advance rental, of which one (1) month is consumable on the first month of the lease term and the other on the last month of the lease period. It also provides for security deposit equivalent to 2 months' rent. Discounted advance rentals and security deposits amounted to P18,389,669 and P39,112,065, respectively, as at May 31, 2025, and P17,716,632 and P36,669,507, respectively, as at August 31, 2024. Undiscounted advance rentals and security deposits amounted to P1,621,429 and P1,629,413, respectively, as at May 31, 2025, and P1,007,078 and P2,215,461, respectively, as at August 31, 2024.

Rental income from the Group's lease transactions involving the properties listed above amounted to P164,486,828 and P153,051,536 for the nine months ended May 31, 2025 and 2024, respectively (see Note 18), and P205,944,061 for the year ended August 31, 2024.

The total future minimum lease receipt on current lease contracts for each of the following periods is as follows:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)	May 31, 2024 (Unaudited)
Due within one year	P124,455,950	P90,397,171	P115,696,813
Due beyond one year but within five years	83,817,184	111,219,960	119,836,343
Due beyond five years	1,625,085	–	3,187,025
	P209,898,219	P201,617,131	P238,720,181

Group as a Lessee

The Group leases low-value equipment with a lease term for a period of 1 year and no purchase option, hence, the lease is accounted for as short-term lease and lease payments are recognized as expense on a straight-line basis over the lease term.

The Group's rent expense charged to general and administrative expenses amounted to P83,051 and P119,963 for the nine months and a year ended May 31, 2025 and August 31, 2024, respectively (see Note 20).

At year end, the Group has outstanding commitment under noncancellable operating lease that fall due within 1 year amounting to P110,735 in 2025 and 2024.

16. Related Party Transactions

The Group, in the normal course of business, has provided and/or received advances, services and/or goods to and from related parties. The related party transactions were made at terms equivalent to those that prevail in arm's length transactions. For financial consolidated statements disclosure purposes, an affiliate is an entity under common control of the Group's shareholders.

Transactions with related parties were made at normal market prices. An assessment is undertaken each financial year through a review of the financial position of the related party and the market in which the related party operates.

Transactions with related parties have been fairly evaluated since the Group treated it same with the transactions to the third parties.

There are no parties that fall outside the definition of "related parties" with whom the Group or its related parties have a relationship that enables the parties to negotiate terms of material transactions that may not be available from other, more clearly independent parties at an arm's length basis.

Below are the account balances as at May 31, 2025 and August 31, 2024 on the separate financial statements of the companies within the Group which were eliminated upon consolidation:

Security deposit

	Payable	
	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
BRC		
Receivables	P8,000,000	P8,000,000

Settlements of the above balances are expected to be in cash.

Income/Expense

	Rental Income		
	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)	May 31, 2024 (Unaudited)
BRC			
Cost of sales	P5,968,461	P6,969,233	P5,969,233

No dividend income was received for the nine months ended and year ended May 31, 2025 and August 31, 2024.

The Group paid professional fee amounting to P800,000 to Okayan River Corporation, an indirect shareholder, the consultancy services provided to the Group for the nine months ended May 31, 2025.

Support Services

On September 1, 2020, the Group entered into a service agreement with Artemis Realty Corporation, a stockholder, to provide support services which include, but not limited to, maintenance and collection, messengerial, clerical and other related services to the Group. Total amount of support services charged to cost of services and general and administrative expenses amounted to P2,306,097 and P8,103,904, respectively, for the nine months ended May 31, 2025 and P2,713,881 and P8,326,119, respectively, for the year ended August 31, 2024. As of May 31, 2025 and August 31, 2024, the Group has prepayments of P1,060,000 and P920,000, respectively.

Key management compensation

The aggregate amount of salaries received by way of professional fees and salaries and wages of key management personnel of the Group amounted to P2,616,074 and P2,655,780 for the nine months ended May 31, 2025 and 2024, respectively. This is included under General and Administrative Expenses in the consolidated statements of comprehensive income. No retirement benefits incurred for the nine months ended May 31, 2025 and 2024.

There are no other significant related party transactions during the period.

17. Share Capital

This account consists of:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Authorized:		
35,000,000 shares of par value of P1 each	P35,000,000	P35,000,000
Subscribed and paid:		
35,000,000 shares of par value of P1 each	P35,000,000	P35,000,000

Capital stock was held by a total of 505 stockholders as at May 31, 2025 and August 31, 2024.

Track record of registration:

Date	Number of Shares Licensed	Issue/Offer Price
December 19, 1955	1,398,505	P1
February 18, 1956	2,601,495	1
April 27, 1961	6,000,000	1
February 05, 1962	7,500,000	1
April 03, 1978	17,500,000	1

18. Revenues

This account consists of:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Rental income (Note 15)	P164,486,828	P153,051,536	P55,298,418	P52,902,583
Other operating income				
Electricity	14,138,187	13,197,046	5,190,007	4,777,731
Water	1,403,003	1,141,761	516,601	395,523
Others	582,589	419,697	220,231	134,250
	P180,610,607	P167,810,040	P61,225,257	P58,210,087

Other operating income pertains to utilities, communication and parking charges billed to tenants by the Group in accordance with the lease agreements.

19. Cost of Services

This account consists of:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Security services	P13,442,821	P12,975,078	P4,347,155	P4,321,795
Communication, light and water	13,113,798	11,926,669	4,587,606	4,097,064
Depreciation (Note 9)	9,048,772	9,901,208	2,918,840	3,210,994
Taxes and licenses	7,635,634	7,333,818	2,577,680	2,595,296
Maintenance and collection services	6,628,938	5,746,843	2,045,173	1,967,241
Real estate tax	5,451,493	5,726,401	1,825,120	2,265,603
Repairs and maintenance	3,380,146	3,288,854	1,224,226	1,488,569
Insurance	1,634,992	1,185,260	554,728	486,545
Others	21,155	2,175	–	1,197
	P60,357,749	P58,086,306	P20,080,528	P20,434,304

20. General and Administrative

This account consists of:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Contract services	P8,835,040	P6,976,217	P2,703,011	P2,350,521
Salaries, wages and allowances	5,891,784	6,391,472	1,774,395	1,837,695
Professional and legal fees	3,734,170	2,945,775	1,287,590	964,686
Donations	1,806,477	505,889	–	100,000
Depreciation (Note 8)	799,694	1,004,477	192,086	334,827
Forward				

Fuel and oil	701,923	810,159	223,810	261,919
Communication, light and water	680,351	666,696	223,386	220,311
Repairs and maintenance	394,076	750,639	192,456	313,738
Commissions	346,376	304,164	254,563	241,526
Supplies	273,599	251,474	63,139	105,828
Membership dues	265,217	273,500	15,217	3,500
Transportation and travel	134,412	98,550	42,896	34,108
Trainings and seminars	102,237	27,000	3,500	27,000
SSS, HDMF and PHIC contributions	100,226	123,017	27,317	35,367
Rent	83,052	83,051	27,684	27,683
Insurance	76,848	82,717	27,782	26,657
Taxes and licenses	45,229	43,448	7,101	7,457
Others	691,468	873,017	247,232	196,338
	P24,962,179	P22,211,262	P7,313,165	P7,089,161

Contract services consist of support services, maintenance services, IT services and others.

Professional fees consist of audit, bookkeeping, legal, directors' and other consultancy fees.

Other expenses are normal operating expenses and miscellaneous the amount of which are immaterial and below one (1) percent of the Group's revenue.

21. Selling and Marketing

This account consists of:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Representation	P112,745	P116,573	P12,020	P22,655
Commission	—	612,900	—	488,556
	P112,745	P729,473	P12,020	P511,211

22. Other Income (Expenses)

This account consists of:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Interest income on:				
Bank deposits (Note 4)	P12,065,163	P10,187,764	P3,880,076	P3,394,923
Others	3,217	—	—	—
Equity in net income of associates (Note 7)	1,894,470	1,583,730	(347,477)	(449,935)
Forfeited advance rental and security and utility deposits	166,149	—	—	—

Forward

Gain on sale of scrap materials	15,902	99,344	15,902	95,174
Interest expense on security and utility deposits (Note 12)	(181,990)	(50,477)	(49,097)	(16,826)
Miscellaneous – net	149,833	73,806	49,023	35,813
	P14,112,744	P11,894,167	P3,548,427	P3,059,149

The interest expense on security deposits pertain to the amortization of discount recognized on the cash received from tenants as security deposits. The security deposits were discounted using the prevailing PHIBOR rate at transaction dates.

Miscellaneous income includes penalty for late collection, damages and rule violations.

23. Income Taxes

The current income tax expense pertains to regular corporate income tax (RCIT) for the nine months ended May 31, 2025 and 2024.

The reconciliation of pretax income computed at the statutory income tax rate vis-à-vis the provision for income tax as shown in the consolidated statements of comprehensive income is shown below:

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Provision for income tax computed at statutory income tax rate	P26,983,558	P24,407,867	P9,473,697	P8,465,959
Additions to (reductions in) income tax resulting from tax effects of:				
Interest expense on security deposits	45,498	12,619	12,275	4,206
Rental income – discounted	(16,988)	(231,237)	(597)	(163,328)
Interest income subjected to final tax	(3,016,291)	(2,546,941)	(970,019)	(848,731)
Optional standard deduction	(5,942,477)	(5,297,588)	(2,309,101)	(1,885,570)
	P18,053,300	P16,344,720	P6,206,255	P5,572,536

The components of the Group's deferred tax assets and deferred tax liability account in the consolidated statements of financial position are as follows:

	May 31, 2025		
	Balance at beginning of year – asset (liability)	Deferred income tax benefit (expense)	Balance at end of year – asset (liability)
Deferred tax asset:			
Advance rental	P4,660,340	P322,541	P4,982,881
Deferred tax liability:			
Rental income adjustment per PFRS 16	(P412,638)	(P59,027)	(P471,665)

August 31, 2024			
	Balance at beginning of year – assets (liability)	Deferred income tax benefit (expense)	Balance at end of year – assets (liability)
Deferred tax asset:			
Advance rental	P4,132,501	P527,839	P4,660,340
Deferred tax liability:			
Rental income adjustment per PFRS 16	(P132,841)	(P279,797)	(P412,638)

The Group opted for optional standard deduction scheme for its income tax for the nine months ended May 31, 2025 and 2024.

24. Dividends

The BOD, on their meeting on December 10, 2024, approved the Parent Company's declaration of cash dividend of P2.00 per share or a total of P70,000,000 to the shareholders on record as of January 7, 2025. Dividends were paid on February 3, 2025.

The BOD, on their meeting on December 11, 2023, approved the Parent Company's declaration of cash dividend of P2.00 per share or a total of P70,000,000 to the shareholders on record as of January 9, 2024. Dividends were paid on February 2, 2024.

The Audit Committee authorized the reversal of the unclaimed dividends to retained earnings amounted to P289,879 and P250,040 on April 10, 2025 and April 8, 2024, respectively.

Dividends payable as at May 31, 2025 and August 31, 2024 amounted to P6,953,426 and P6,277,100, respectively.

25. Earnings Per Share (EPS)

Basic and diluted EPS attributable to the equity holders of the Group is computed as follows:

	For nine months ended		For three months ended	
	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)	May 31, 2025 (Unaudited)	May 31, 2024 (Unaudited)
Net income	P91,237,378	P82,332,446	P31,161,716	P27,662,024
Divided by weighted average number of issued and outstanding common	35,000,000	35,000,000	35,000,000	35,000,000
	P2.61	P2.35	P0.89	P0.79

	For nine months ended		For three months ended	
	May 31, 2025	May 31, 2024	May 31, 2025	May 31, 2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
Total comprehensive income	P90,386,218	P78,417,110	P31,331,948	P27,662,024
Divided by weighted average number of issued and outstanding common	35,000,000	35,000,000	35,000,000	35,000,000
	P2.58	P2.24	P0.90	P0.79

The Group has no dilutive shares as at May 31, 2025 and August 31, 2024 (see Note 17).

26. Financial Risk Management Objectives and Policies

The Group is exposed to a variety of financial risks, which resulted from its operating, investing and financing activities. The Group's principal financial instruments comprise of cash and cash equivalents and trade receivables. The main purpose of investing on these financial instruments (assets) is to maximize interest yield and for capital appreciation. The Group has various other financial assets and liabilities such as trade and other receivables, refundable deposits, trade and other payables and other current liabilities, which arise directly from operations. The Group's policies and guidelines cover credit risk, liquidity risk and market risks. The objective of financial risk management is to contain, where appropriate, exposures in these financial risks to limit any negative impact on the Group's results and financial position. The Group actively measures, monitors and manages its financial risk exposures by various functions pursuant to the segregation of duties principle.

The main financial risk arising from the Group's use of financial instruments includes credit risk, market risk and liquidity risk. The Group's BOD regularly reviews and approves the appropriate policies for managing these financial risks, as summarized in the following pages:

Credit risk

Credit risk refers to the risk that a counter party will default and/or fail to honor its financial or contractual obligations, resulting in financial loss to the Group. The Group only transacts with recognized and creditworthy counterparties, like investing in creditworthy equities such as those listed in the Philippine Stock Exchange. Moreover, the Group follows strict credit policies and procedures in granting of credit to customers, which are regularly reviewed and updated to reflect changing risk conditions, which includes credit evaluation, administration, monitoring and collection guidelines. The Group requires advance payment from its tenants. The advance payments include advance rental and a refundable security deposit. In addition, no business is transacted to customers who have bad credit history where credit records are available.

The Group monitors exposures through continuing assessment of creditworthiness of customers, and monitoring of the aged schedules of receivables. In addition, tenants are subjected to standard credit check procedures, which are calibrated based on payment scheme offered.

Credit risk exposure

Generally, the maximum credit risk exposure of the financial assets is the carrying amounts of the Group's financial assets as summarized below:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Cash in banks	P493,948,536	P470,685,684
Trade receivables	8,106,011	4,905,914
Refundable deposits	1,919,507	2,089,353
	P503,974,054	P477,680,951

The Group's cash in banks have been invested with various creditworthy banks, thus limiting exposure to credit risk, in regard to its liquid assets. The Group's trade receivables consist of significant number and various tenants. Customers of the Group have been subjected to credit evaluation prior to approval of lease contracts.

With respect to credit risk arising from other financial assets, the Group's exposure to credit risk arises from default of the counterparties, with a maximum exposure equal to the carrying value of these instruments.

Credit quality per class of financial assets

Below is the credit quality by class of financial assets as at May 31, 2025 and August 31, 2024, gross of allowance for impairment losses:

	May 31, 2025			
	Neither past due nor impaired		Past due but not impaired	Total
	High grade	Standard grade		
Cash in banks	P493,948,536	P–	P–	P493,948,536
Trade receivables	8,055,902	–	50,109	8,106,011
Refundable deposits	–	1,919,507	–	1,919,507
	P502,004,438	P1,919,507	P50,109	P503,974,054

	August 31, 2024			
	Neither past due nor impaired		Past due but not impaired	Total
	High grade	Standard grade		
Cash in banks	P470,685,684	P–	P–	P470,685,684
Trade receivables	4,131,721	–	774,193	4,905,914
Refundable deposits	–	2,089,353	–	2,089,353
	P474,817,405	P2,089,353	P774,193	P477,680,951

The Group's cash in banks considered by management as high grade are fund placed, invested, or deposited in local banks belonging to the top 25 banks in the Philippines in terms of resources and profitability. Other high grade accounts are accounts considered to be high value. The counterparties have a very remote likelihood of default and have consistently exhibited good paying habits.

Standard grade accounts are active accounts with minimal to regular instances of payment default, due to ordinary or common collection issues. These accounts are typically not impaired as the counterparties generally respond to the credit actions and update their payments accordingly.

Substandard grade accounts are accounts which have a probability of impairment based on historical trend. These accounts show propensity to default in payment despite regular follow-up and extended payment terms.

Below is the aging analysis of past due but are not impaired receivables:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
31-60 days	P49,767	P87,043
61-90 days	342	102,181
91-120 days	–	583,646
beyond 120 days	–	1,323
	P50,109	P774,193

Impairment Assessment

The Group was required to revise its impairment methodology under PFRS 9 for each class of financial assets and has determined that there has been no significant impact of the change in impairment methodology on the Group's retained earnings and equity. Upon adoption of PFRS 9, the Group applies general approach for determining the expected credit losses of cash and cash equivalent, trade receivables and refundable deposits. A credit loss is the difference between the cash flows that are expected to be received discounted at the original effective interest rate and contractual cash flows in accordance with the contract. The loss allowance for financial assets are based on the assumptions about risk of default and expected loss rates. In addition, the management's assessment of the credit risk on cash and cash equivalents, trade receivables and refundable deposits as at the reporting date is low.

The Group applies the PFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for trade receivables. To measure expected credit loss, receivables were grouped based on days past due. The expected loss rates are based on the historical credit losses within the period of time. The historical rates are adjusted to reflect current and forward-looking information affecting the ability of the customers to settle the receivables.

The maximum exposure of the Group's trade receivables is equal to their carrying value (outstanding balance less allowance for doubtful accounts). Thus, the Group's exposure to impairment under PFRS 9 is insignificant.

As at May 31, 2025 and August 31, 2024, the Group has financial assets that are past due but are not impaired. The Management believes that the Group can effectively collect certain past due accounts, if any.

Market Risks

Market risk is the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in the price of a financial instrument. The value of a financial instrument may change as a result of changes in interest rates.

Fair value interest rate risk

Fair value interest rate risk is the risk that the value of a financial instrument will fluctuate due to changes in market interest rates.

Interest rate risk

The Group's exposure to interest rate fluctuations is on their cash in banks, advance rentals and security and utility deposits. Other financial assets and liabilities which principally arise in the ordinary course of its operations are generally noninterest-bearing.

The Group earned interests net of final taxes withheld, amounting to P12,065,163 and P10,187,764 for the nine months ended May 31, 2025 and 2024, respectively, and P14,026,742 for the year ended August 31, 2024 (see Notes 4 and 22)

The Group's related interest rate was fixed at 2.47% per annum.

Interest expense related to security and utility deposits incurred amounted to P181,990 and P50,477 for the nine months ended May 31, 2025 and 2024, respectively, and P59,222 for the year ended August 31, 2024 (see Notes 15 and 22).

The following table set forth the impact of the range of reasonably possible changes in the interest rates on the Group's income before income tax and equity for the nine months ended May 31, 2025 and 2024 and a year ended August 31, 2024:

	Reasonably possible changes in interest rates	Effect on income before tax	Effect on equity
May 31, 2025	0.37%	P1,827,610	P1,462,088
	(0.37%)	(1,827,610)	(1,462,088)
May 31, 2024	1.39%	P5,882,072	P4,705,657
	(1.39%)	(5,882,072)	(4,705,657)
August 31, 2024	0.25%	P1,023,802	P819,042
	(0.25%)	(1,023,802)	(819,042)

Liquidity risk

Liquidity risk arises from the possibility that the Group may encounter difficulties in raising funds to meet commitments from financial instruments.

The Group's objectives to manage its liquidity profile are: a) to ensure that adequate funding is available at all times; b) to meet commitments as they arise without incurring unnecessary costs; c) to be able to access funding when needed at the least possible cost; and d) to maintain an adequate time spread of refinancing maturities.

The tables below summarize the maturity profile of the Group's nonderivative financial assets and liabilities based on contractual undiscounted payments, as of May 31, 2025 and August 31, 2024:

	May 31, 2025			
	Due within one year	Due from 1 to five years	Over 5 years	Carrying amount
Financial assets:				
Cash and cash equivalents	P493,983,536	P–	P–	P493,983,536
Trade receivables	8,106,011	–	–	8,106,011
Refundable deposits	–	1,919,507	–	1,919,507
	P502,089,547	P1,919,507	P–	P504,009,054
Financial liabilities:				
Trade and other payables	P2,459,966	P–	P–	P2,459,966
Dividends payable	6,953,426	–	–	6,953,426
Security and utility deposits	30,877,072	10,580,824	134,784	41,592,680
Advances from clients	91,854	–	–	91,854
	P40,382,318	P10,580,824	P134,784	P51,097,926
	August 31, 2024			
	Due within one year	Due from 1 to five years	Over 5 years	Carrying amount
Financial assets:				
Cash and cash equivalents	P470,720,684	P–	P–	P470,720,684
Trade receivables	4,905,914	–	–	4,905,914
Refundable deposits	–	2,089,353	–	2,089,353
	P475,626,598	P2,089,353	P–	P477,715,951
Financial liabilities:				
Trade and other payables	P2,955,668	P–	P–	P2,955,668
Dividends payable	6,277,100	–	–	6,277,100
Security and utility deposits	38,884,968	–	–	38,884,968
Advances from clients	93,804	–	–	93,804
	P48,211,540	P–	P–	P48,211,540

27. Financial Instruments

The carrying amounts and fair values of the financial assets and financial liabilities as at May 31, 2025 and August 31, 2024 are presented below:

	May 31, 2025			
	Carrying value	Fair value	Significant observable inputs (Level 2)	Significant observable inputs (Level 3)
Financial assets at amortized cost:				
Cash and cash equivalents	P493,983,536	P493,983,536	P493,983,536	P–
Trade receivables	8,106,011	8,106,011	–	8,106,011
Refundable deposits	1,919,507	1,919,507	–	1,919,507
	P504,009,054	P504,009,054	P493,983,536	P10,025,518

May 31, 2025				
	Carrying value	Fair value	Significant observable inputs (Level 2)	Significant observable inputs (Level 3)
Financial liabilities at amortized cost:				
Trade and other payables	P2,459,966	P2,459,966	P–	P2,459,966
Security and utility deposits	40,741,478	40,741,478	40,741,478	–
Dividends payable	6,953,426	6,953,426	6,953,426	–
Advances from clients	91,854	91,854	–	91,854
	P50,246,724	P50,246,724	P47,694,904	P2,551,820

August 31, 2024				
	Carrying value	Fair value	Significant observable inputs (Level 2)	Significant observable inputs (Level 3)
Financial assets at amortized cost:				
Cash and cash equivalents	P470,720,684	P470,720,684	P470,720,684	P–
Trade receivables	4,905,914	4,905,914	–	4,905,914
Refundable deposits	2,089,353	2,089,353	–	2,089,353
	P477,715,951	P477,715,951	P470,720,684	P6,995,267
Financial liabilities at amortized cost:				
Trade and other payables	P2,955,668	P2,955,668	P–	P2,955,668
Security and utility deposits	38,884,968	38,884,968	38,884,968	–
Dividends payable	6,277,100	6,277,100	6,277,100	–
Advances from clients	93,804	93,804	–	93,804
	P48,211,540	P48,211,540	P45,162,068	P3,049,472

Methods and Assumptions Used to Estimate the Fair Value

The carrying value of cash and cash equivalents, trade receivables and payables, and advances from clients included under other current liabilities approximate their fair values due to the short-term nature of the transactions.

The future cash flows of refundable deposits under noncurrent asset accounts cannot be readily determined and reasonably measured as the actual timing of receipt which is linked to the cessation of the service cannot be reasonably predicted. Accordingly, refundable deposits are carried at costs less any impairment.

For cash in banks with fair values included in Level 2, management considers that the carrying amounts of these financial assets approximate their fair values due to their short duration.

The fair values of trade receivables and payables and other financial liabilities included in Level 3, which are not traded in an active market are determined based on the expected cash flows of the underlying net asset or liability based on the instrument where the significant inputs required to determine the fair value of such instruments are not based on observable market data.

Security and utility deposits under noncurrent liabilities are carried at amortized cost.

The rollforward analysis of the Level 3 accounts follow:

	May 31, 2025			
	Trade receivables	Refundable deposits	Trade and other payables	Advances from clients
Balance at beginning of year	P4,905,914	P2,089,353	P2,955,668	P93,804
Additions (payment/collections) the year	3,200,097	(169,846)	(495,702)	(1,950)
	P8,106,011	P1,919,507	P2,459,966	P91,854

	August 31, 2024			
	Trade receivables	Refundable deposits	Trade and other payables	Advances from clients
Balance at beginning of year	P16,741,949	P2,210,396	P4,024,566	P95,204
Additions (payment/collections) during the year	(11,836,035)	(121,043)	(1,068,898)	(1,400)
	P4,905,914	P2,089,353	P2,955,668	P93,804

The Group has no financial instruments that are carried at FVPL and there has been no reclassification from the Level categories as at May 31, 2025 and August 31, 2024.

During the nine months ended May 31, 2025 and a year ended August 31, 2024, there were no transfers between Level 2 and Level 3 fair value measurements and no transfer into and out of Level 1 fair value measurements.

28. Capital Management

The Group monitors the adequacy of its capital to ensure that the financial resources of the Group are available to absorb unforeseen or unanticipated losses. The Group's capital is its buffer against insolvency.

The Group manages its capital structure and makes adjustments to it, in the light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, pay-off existing debts, return capital to shareholders or issue new shares. The Group defines capital as paid-in capital stock, additional paid-in capital, retained earnings, both appropriated and unappropriated, and its share in the accumulated other comprehensive income of the group's associates.

The BOD has overall responsibility for monitoring capital in proportion to risk. Profiles for capital ratios are set in light of changes in the Group's external environment and the risks underlying the Group's business, operation and industry.

The Group considers the following as its capital:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Share capital (Note 17)	P35,000,000	P35,000,000
Additional paid-in capital	182,922,688	182,922,688
Retained earnings	406,549,955	385,022,698
Accumulated other comprehensive loss	(12,897,288)	(12,046,128)
	P611,575,355	P590,899,258

The Group monitors capital on the basis of debt-to-equity ratio, which is calculated as total debt divided by total equity.

The table below shows how the Group computes its debt-to-equity ratio as at May 31, 2025 and August 31, 2024:

	May 31, 2025 (Unaudited)	Aug 31, 2024 (Audited)
Total Debt	P76,245,976	P74,005,129
Total Equity	611,575,355	590,899,258
	0.12:1.00	0.13:1.00

There were no changes in the Group's approach to capital management during the year. The Group is not subject to externally imposed capital requirement.

29. Events After the End of the Reporting Period

No other events occurred between the consolidated statements of financial position date and the date on which these consolidated financial statements were approved by the Group's BOD that would require adjustment to or disclosure in the consolidated financial statements.

30. Other Matters

The Group has the following cases:

CTA Case No. 7991

The Parent Company was assessed by the Bureau of Internal Revenue (BIR) for deficiency taxes in the amount of P10,842,529 including surcharges, compromise penalties and interests for the fiscal year ended August 31, 2005. The Parent Company filed a Petition for Review for the cancellation and withdrawal of the assessment of deficiency tax. The Parent Company filed an offer of compromise and paid forty percent (40%) of the basic deficiency tax or P2,442,230 on March 22, 2010 with the BIR. However, the compromise offer was not accepted by the BIR.

On October 3, 2014, the Parent Company paid deficiency taxes with related interest expense amounting to P4,133,462 as partial payment for its tax obligations.

On April 10, 2017, the Parent Company's legal counsel wrote a letter to the Large Taxpayers Division of BIR offering amicable settlement of its remaining deficiency taxes, taking into consideration of the two (2) previous payments made as stated above.

On August 9, 2017, the Parent Company paid its remaining deficiency taxes with related interest expense in the amount of P4,405,610 to fully settled all its obligations with the BIR.

In a *Manifestation* dated 24 February 2020, BIR through the Office of the Solicitor General, confirmed the full settlement by the Parent Company of its FY 2005 deficiency taxes. Acting on said *Manifestation*, the Supreme Court required the BIR and Parent Company to file their respective manifestations on whether or not the pending petitions are now moot and academic. The Parent Company has filed its manifestation and is yet to receive the manifestation of BIR.

In addition, the Parent Company filed on 15 April 2021 a *Manifestation with Motion*, reiterating the mootness of the pending Petitions with the Court in view of the manifestation from BIR of the full settlement by the Parent Company of its tax deficiencies.

In the latest Motion and Compliance filed by the Office of the Solicitor General (OSG) on behalf of BIR, it stated that "BIR has considered the Php10,981,302.55 tax deficiency of PTFC Redevelopment Corporation as fully-paid" and that "all matters that will help the Court in the immediate disposition of the case has been submitted through the Manifestation dated February 24, 2022". This statement of the OSG is effectively saying that there are no other matters to be considered by the Court in view of the full payment of the tax deficiency.

In a resolution dated December 5, 2022, the Supreme Court denied both motions for being moot and academic. In view of the full and complete settlement by PTFC Redevelopment Corporation of its remaining deficiency tax assessments, the civil case is now considered closed and terminated.

On March 9, 2023, the Supreme Court issued an entry of judgment certifying that the resolution dated December 5, 2022 has become final and executory. There being no remaining issue as to any deficiency taxes for fiscal year ended August 31, 2005, the case is considered closed and terminated, and will no longer be a subject of corporate disclosures henceforth.

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY

Aging of Accounts Receivable

AS OF MAY 31, 2025

(Amounts in Philippine Pesos)

	TOTAL	1 Month	2-3 Mos.	4-6 Mos.	7mos. To 1 Year	1 - 2 Years	3-5 Years	5 Years and Above	Nature/ Description	Collection Period
A.) RENT RECEIVABLES										
Parent:										
Balintawak/Baesa compound	3,581,017	3,531,275	49,742	-	-	-	-	-	Warehouse Rental, 100% collection in June 2025.	Monthly
Various tenants (PFRS 16)	1,040,398	1,040,398	-	-	-	-	-	-	Rental income adjustments in compliance with PAS 17 (straight-line basis recognition of lease income)	
Subtotal	4,621,415	4,571,673	49,742	-	-	-	-	-		
Subsidiary										
Various tenants	623,194	622,827	25	342	-	-	-	-	Warehouse Rental. 99.9% collection in June 2025.	Monthly
Various tenants (PFRS 16)	846,261	846,261	-	-	-	-	-	-	Rental income adjustments in compliance with PAS 17 (straight-line basis recognition of lease income)	
	1,469,455	1,469,088	25	342	-	-	-	-		
TOTAL - RENT RECEIVABLES	6,090,870	6,040,761	49,767	342	-	-	-	-		
B.) OTHER RECEIVABLES										
1. Tenant's Utilities/Advances	2,015,141	2,015,141	-	-	-	-	-	-	Tenant's utilitie.	Monthly
NET RECEIVABLES	8,106,011	8,055,902	49,767	342	-	-	-	-		

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY

Schedule of Financial Soundness Indicators

MAY 31, 2025

	<u>May 31, 2025</u>	<u>Aug 31, 2024</u>	<u>May 31, 2024</u>
A. Current ratio			
Current assets	<u>510,549,328</u>	481,044,901	
Current liabilities	<u>18,272,577</u>	19,206,352	
	<u>27.94</u>	25.05	
B. Acid test ratio			
Cash and cash equivalents + trade receivables	<u>502,089,547</u>	475,626,598	
Current liabilities	<u>18,272,577</u>	19,206,352	
	<u>27.48</u>	24.76	
C. Solvency ratio			
Net income after income tax + depreciation	<u>101,085,844</u>		93,238,131
Total liabilities	<u>76,245,976</u>		72,055,281
	<u>1.326</u>		1.294
D. Debt-to-equity-ratio			
Total liabilities	<u>76,245,976</u>	74,005,129	
Total equity	<u>611,575,355</u>	590,899,258	
	<u>0.125</u>	0.125	
E. Asset-to-equity ratio			
Total assets	<u>687,821,331</u>	664,904,387	
Total equity (including non-controlling interest)	<u>611,575,355</u>	590,899,258	
	<u>1.125</u>	1.125	
F. Interest rate coverage ratio			
Earnings before interest expense and taxes			
Interest expense	<u>NA</u>		NA
G. Return on equity			
Net income	<u>91,237,378</u>		82,332,446
Total average equity	<u>601,237,307</u>		558,917,837
	<u>0.152</u>		0.147

H. Return on assets ratio

Net income	91,237,378	82,332,446
Total average assets	676,362,859	629,187,694
	0.135	0.131

I. Net profit margin

Net income	91,237,378	82,332,446
Gross revenues	180,610,607	167,810,040
	0.505	0.491

J. Other ratios

1. Gross profit ratio

Gross profit	120,252,858	109,723,734
Gross revenues	180,610,607	167,810,040
	0.666	0.654

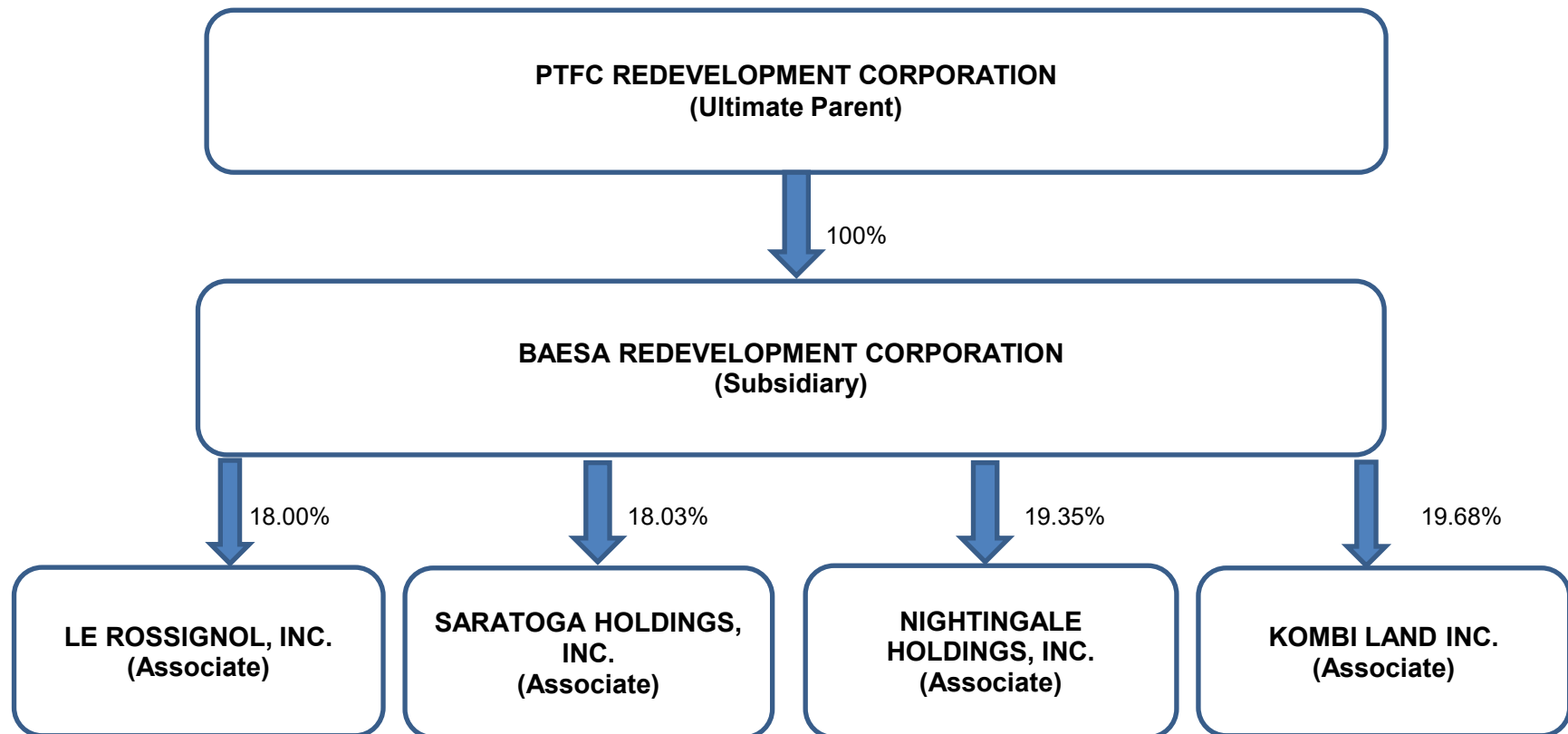
2. Net income from operations to profit margin ratio

Gross profit	120,252,858	109,723,734
Less:		
General and administrative	24,962,179	22,211,262
Selling	112,745	729,473
Income from operations	95,177,934	86,782,999
Divided by gross profit	120,252,858	109,723,734
	0.791	0.791

PTFC REDEVELOPMENT CORPORATION AND SUBSIDIARY

**MAPPING OF RELATIONSHIPS BETWEEN AND AMONG THE COMPANY AND ITS ULTIMATE PARENT COMPANY, MIDDLE PARENT
SUBSIDIARIES OR CO-SUBSIDIARIES AND ASSOCIATES**

As of MAY 31, 2025



Item 2. Management’s Discussion and Analysis of Financial Condition and Results of Operations for the Three Quarters ended May 31, 2025

Discussion of Financial Condition and Results of Operation

**Consolidated Statements of Financial Position
May 31, 2025 and August 31, 2024**

1. The increase in cash and cash equivalents was primarily due to the profitable operations of the Group.
2. The increase in trade receivables pertains to the uncollected rentals from the tenants of the warehouses.
3. Prepayments and other current assets increased due to the advance payment of real estate tax, support service fee and prepaid insurance.
4. Property and equipment decreased mainly due to the depreciation and amortization.
5. Investment properties decreased mainly due to depreciation.
6. The increase in deferred tax asset pertains to the increase in advance rentals.
7. Other noncurrent assets decreased due to the partial refund of deposits to Meralco.
8. The decrease in trade and other payables represents payments of maintenance services and audit fees.
9. The increase in advance rentals – current represents advance rent from the new tenant of the Subsidiary Company.
10. Security and utility deposits – current decreased due to the refund of deposits to tenant (end of lease contract) of the Subsidiary Company.
11. Last December 10, 2024, the Parent Company declared a cash dividend of P2 per share or a total of P70 million for the stockholders of record as of January 7, 2025. The increase in dividends payable represents the unpaid balance from the said declaration to inaccessible stockholders due to erroneous addresses in the Company’s records.
12. Income tax payable increased due to the Group’s taxable income from December 1, 2024 to May 31, 2025.
13. Other current liabilities decreased due to the lower VAT payable for the month of May 2025.
14. The increase in security and utility deposits represents payment from the new and existing tenants.
15. Deferred tax liability increased due to the tax effect of recording the rental income on a straight-line basis in compliance with Philippine Accounting Standards (PAS) 17.
16. Accumulated other comprehensive loss pertains to the equity in the unrealized loss of the associates’ investment in stocks.

Consolidated Statements of Comprehensive Income For the Nine Months Ended May 31, 2025 and 2024

1. The revenues increased from P168 million to P181 million this year due to an increase in occupancy and higher average lease rate.
2. Gross income increased from P109 million to P120 million due to the increase in revenues as previously stated.
3. This period's general and administrative expenses increased due to higher payments of service and professional fees, and donations.
4. This period's selling and marketing expenses is lower compared to last year that includes commission to brokers.
5. Other income this period increased due to the higher interest income from the Group's short-term time deposits, and equity in net income of associates.
6. The Company's current income tax expense was higher by P1.77 million compared to the same period last year due to the higher revenues.
7. Provision for income tax-deferred is higher this year due to the deferred tax on advance rental and rental income adjustment in compliance with Philippine Accounting Standards (PAS) 17.
8. The Company's net income is higher compared to last year due to the higher revenues as previously stated.
9. Other comprehensive loss this year pertains to the equity in the unrealized loss of the associates' investment in stocks.

Discussion of Top Key Performance Indicators

Discussed below are the key performance indicators of the Group:

i) Current/Liquidity

The strong liquidity position of the Group allowed it to meet its operating expenses and currently maturing obligations. The Group's working capital ratios were 27.94 and 25.05 as of 31 May 2025 and 31 August 2024, respectively.

The Group's liquid assets consist of cash in banks and peso placements in the money market.

ii) Solvency/Debt-to-equity ratios

The Group showed debt-to-equity ratios of 12.5% as of 31 May 2025 and 31 August 2024. These low ratios reflect the strengths in the basic operations of the Group.

iii) Net debt-to-equity ratio

The Company showed negative net debt-to-equity ratios of 68.3% and 67.1% as of 31 May 2025 and 31 August 2024, respectively. These low ratios reflect the strengths in the basic financial operations of the Company.

iv) Gross profit ratio

The Group continues to enjoy high gross profit margins as a result of competitive lease rates. The gross profit ratio increased slightly due to an increase in revenues. The Group has gross profit ratio of 66.6% and 65.4% for the period ended 31 May 2025 and 2024, respectively.

v). Net income from operations to profit margin ratio

The ratio of income from operations to gross profit is 79.1% as of 31 May 2025 which is the same ratio as of 31 May 2024.

vi) Asset to equity ratio

The Group has 112.5% asset to equity ratio as of 31 May 2025 which is the same ratio as of 31 August 2024.

vii) Profitability ratios

Return on assets ratio

Net income from operations as of 31 May 2025 is P91.2 million. The Group's earnings are more than sufficient to support its operations. The revenues, other income and total average assets increased compared to last year, return on assets ratio slightly increased to 13.5% as of 31 May 2025 compared to 13.1% last year.

Return on equity ratio

Net income from operations as of 31 May 2025 is P91.2 million. The Group's earnings are more than sufficient to support its operations. The revenues, other income and total average equity increased compared to last year, return on equity ratio slightly increased to 15.2% as of 31 May 2025 compared to 14.7% last year.

The manner by which the Group calculates the key performance indicators is as follows:

	<u>May 31, 2025</u>	<u>Aug 31, 2024</u>	<u>May 31, 2024</u>
A. Current/liquidity ratio			
Current assets	<u>510,549,328</u>	481,044,901	
Current liabilities	<u>18,272,577</u>	19,206,352	
	<u><u>27.94</u></u>	<u>25.05</u>	
B. Solvency/debt-to-equity ratio			
Total liabilities	<u>76,245,976</u>	74,005,129	
Total equity	<u>611,575,355</u>	590,899,258	
	<u><u>0.125</u></u>	<u>0.125</u>	

C. Net debt-to-equity ratio

Total liabilities less cash and cash equivalents	-417,737,560	-396,715,555
Total equity	611,575,355	590,899,258
	<u>-0.683</u>	<u>-0.671</u>

D. Gross profit ratio

Gross profit	120,252,858	109,723,734
Gross revenues	180,610,607	167,810,040
	<u>0.666</u>	<u>0.654</u>

E. Net income from operations to profit margin ratio

Gross profit	120,252,858	109,723,734
Less:		
General and administrative	24,962,179	22,211,262
Selling	112,745	729,473
Income from operations	95,177,934	86,782,999
Divided by gross profit	120,252,858	109,723,734
	<u>0.791</u>	<u>0.791</u>

F. Asset-to-equity ratio

Total assets	687,821,331	664,904,387
Total equity	611,575,355	590,899,258
	<u>1.125</u>	<u>1.125</u>

G. Profitability ratios

a. Return on assets

Net income	91,237,378	82,332,446
Total average assets	676,362,859	629,187,694
	<u>0.135</u>	<u>0.131</u>

b. Return on equity

Net income	91,237,378	82,332,446
Total average equity	601,237,307	558,917,837
	<u>0.152</u>	<u>0.147</u>

Discussion and Analysis of Material Events and Uncertainties

- i. There are no known trends, demands, commitments, events or uncertainties that will have a material impact on the Group's liquidity. The Group's operations are funded internally, particularly through rentals of its warehouses. Management believes that its rental business will provide the Group with a steady source of income and cash flow in the foreseeable future.
- ii. There are no events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation.
- iii. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.
- iv. There are no known trends, events or uncertainties that have had, or that are reasonably expected to cause a material favorable or unfavorable impact on income from continuing operations.
- v. The Company has entered various material commitments for capital expenditure as disclosed in Note 9, *Investment Properties*, of the Notes to Consolidated Financial Statements
- vi. There were no known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on the income from continuing operations.
- vii. There were no significant elements of income or loss that did not arise from the Group's continuing operations.
- viii. There were no seasonal aspects that had any material effect on the financial condition or results of operations of the Group.